

The background of the slide is a low-angle, upward-looking photograph of a modern skyscraper with a glass and steel facade. The building's lines converge towards the top of the frame, creating a sense of height and architectural scale. The sky is a clear, pale blue. In the top left corner, the word "Moody's" is written in a dark blue, serif font.

Moody's

# 4Q and Full Year 2017 Investor Presentation

March 6, 2018

# Disclaimer

Certain statements contained in this document are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements in this document are made as of the date hereof, and Moody's disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, Moody's is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, world-wide credit market disruptions or an economic slowdown, which could affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates and other volatility in the financial markets such as that due to the U.K.'s referendum vote whereby the U.K. citizens voted to withdraw from the EU; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting world-wide credit markets, international trade and economic policy; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Financial Reform Act and regulations resulting from that Act; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which the Company may be subject from time to time; provisions in the Financial Reform Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if the Company fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which the Company operates, including sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions or other business combinations and the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. Other factors, risks and uncertainties relating to our acquisition of Bureau van Dijk could cause our actual results to differ, perhaps materially, from those indicated by these forward-looking statements, including risks relating to the integration of Bureau van Dijk's operations, products and employees into Moody's and the possibility that anticipated synergies and other benefits of the acquisition will not be realized in the amounts anticipated or will not be realized within the expected timeframe; risks that the acquisition could have an adverse effect on the business of Bureau van Dijk or its prospects, including, without limitation, on relationships with vendors, suppliers or customers; claims made, from time to time, by vendors, suppliers or customers; changes in the European or global marketplaces that have an adverse effect on the business of Bureau van Dijk. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of the Company's annual report on Form 10-K for the year ended December 31, 2017, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.

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# Moody's Mission: To be the World's Most Respected Authority Serving Risk-Sensitive Financial Markets



## » **Defend and enhance our core ratings & research businesses**

- Ratings: predictive, predictable and transparent
- Research: timely and insightful

## » **Pursue strategic growth opportunities**

- Leverage the brand to extend our reach in financial markets
- More broadly occupy credit / financial risk management and information vertical
- Extend both thought leadership footprint and presence as a recognized standard
- Move upstream in emerging financial markets

1

## Financial Overview

# Overview of Moody's Corporation

## MOODY'S INVESTORS SERVICE



Independent provider of credit rating opinions and related information for over 100 years



MIS provides ratings in more than 120 countries



Ratings relationships with:

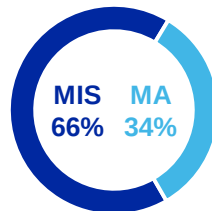
- ~5,000 non-financial corporate issuers
- ~4,000 financial institutions issuers
- ~18,000 public finance issuers
- ~11,000 structured finance transactions
- ~1,000 infrastructure and project finance issuers

## MOODY'S

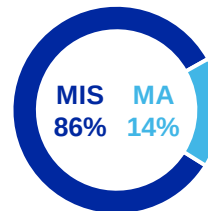


Leading global provider of credit rating opinions, insight and tools for financial risk measurement and management

Revenue of  
\$4.2 billion



Operating Income  
of \$1.8 billion



## MOODY'S ANALYTICS



Research, data and software for financial risk analysis and related professional services



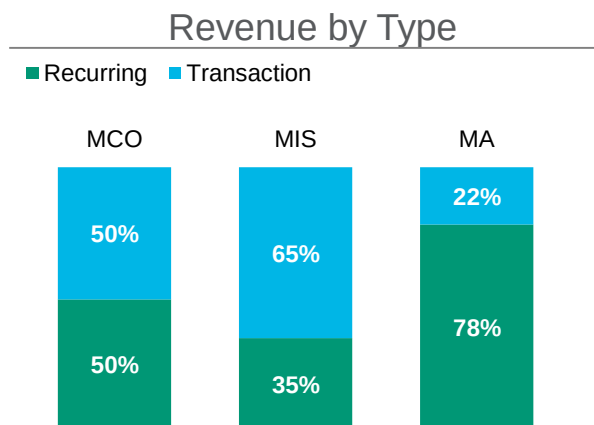
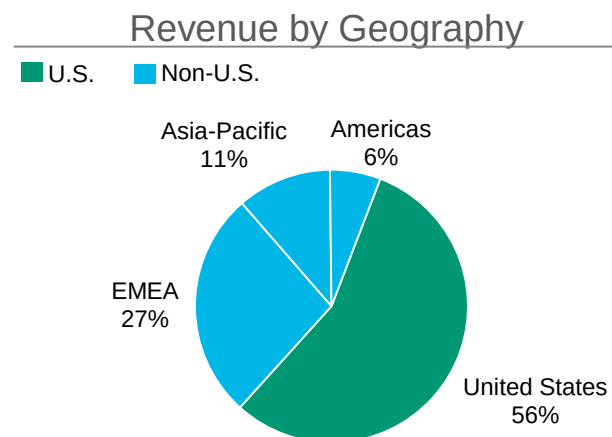
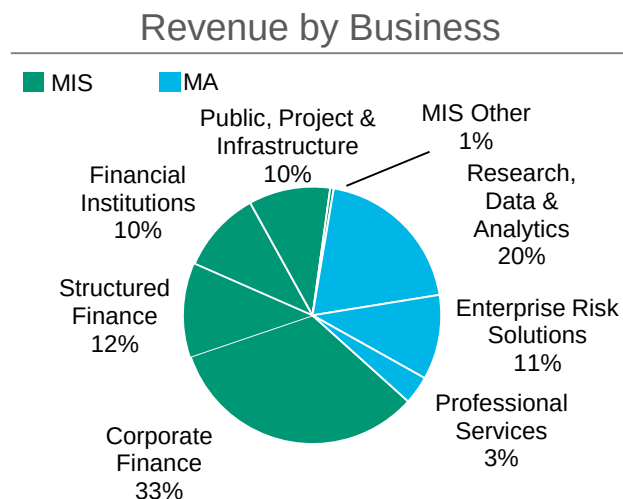
Customers in 155 countries



10,500 institutional customers; business with 84 of top 100 global banks

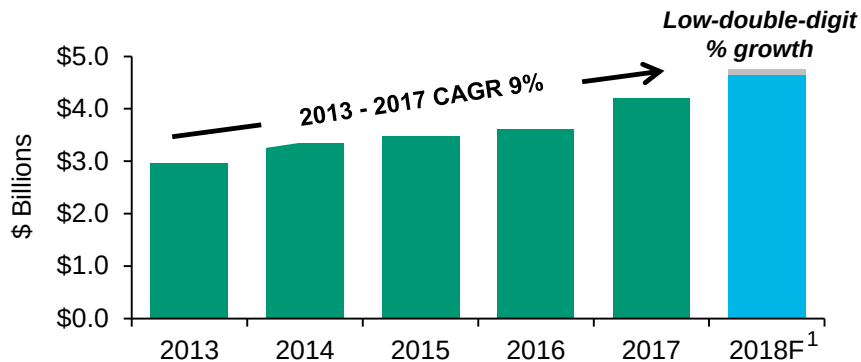
Note: All data is as of December 31, 2017.

# Revenue is Diversified by Business, Geography and Type

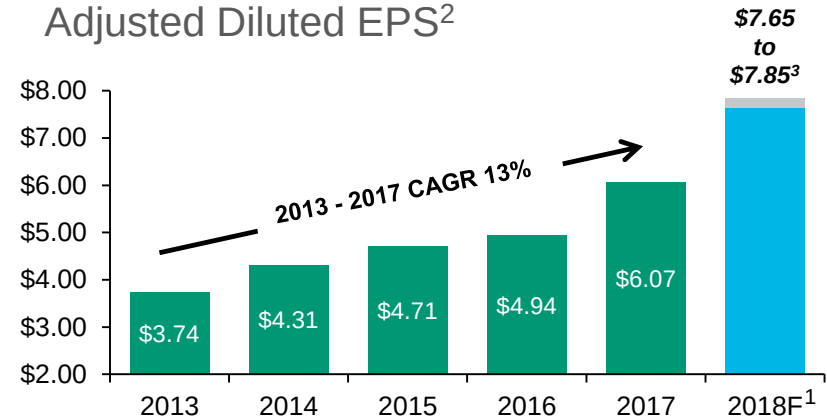


# Financial Performance

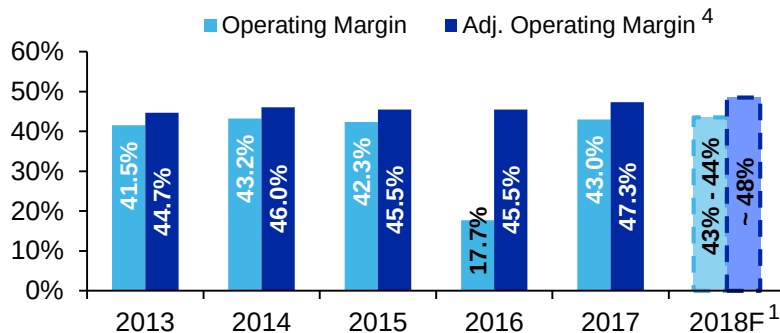
## Revenue



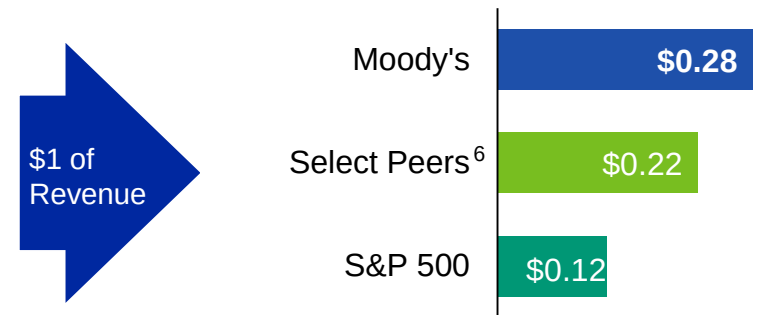
## Adjusted Diluted EPS<sup>2</sup>



## Operating Margin



## 5-year Average Free Cash Flow Conversion<sup>5</sup>



<sup>1</sup> Guidance as of February 9, 2018.

<sup>2</sup> Adjusted diluted EPS is an adjusted measure. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

<sup>3</sup> Includes an approximate \$0.65 benefit resulting from U.S. corporate tax reform. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

<sup>4</sup> Adjusted Operating Margin is an adjusted measure. See appendix for reconciliation from adjusted financial measures to U.S. GAAP.

<sup>5</sup> As of February 2018, over the last five available fiscal years. Free Cash Flow is an adjusted financial measure. See appendix for reconciliation from adjusted financial measures to U.S. GAAP. Source: FactSet.

<sup>6</sup> Includes: CLGX, DNB, EXPN, FDS, INFO, MORN, MSCI, SPGI, TRI and VRSK.



# Long-Term Growth Opportunities

Three Levers to Achieve EPS Growth



**EPS**

**Low Teens % Growth Range<sup>1, 2</sup>**

Note: Long-term growth opportunities presented on this slide are on average over time.

<sup>1</sup> Assumes no material change in effective tax rate, foreign exchange rates, leverage profile and/or capital allocation policy.

<sup>2</sup> Subject to market conditions and other ongoing capital allocation decisions.

# Actively Managing the Expense Base

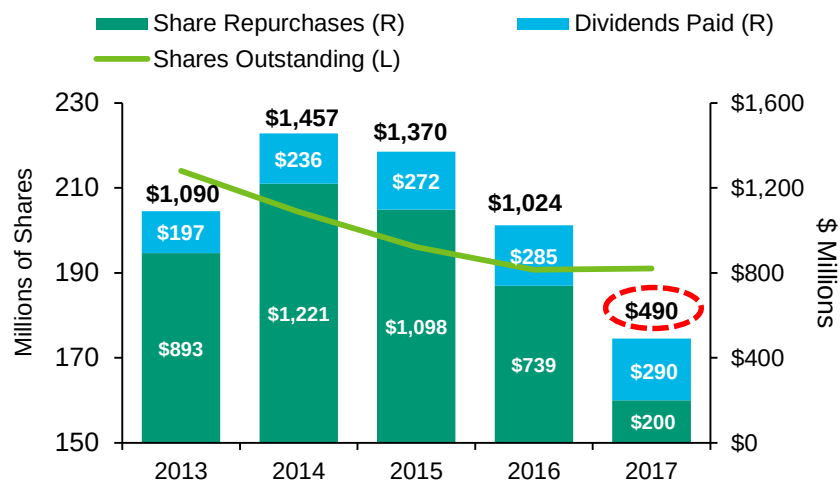


*Best practices and cost management  
contribute to operating leverage*

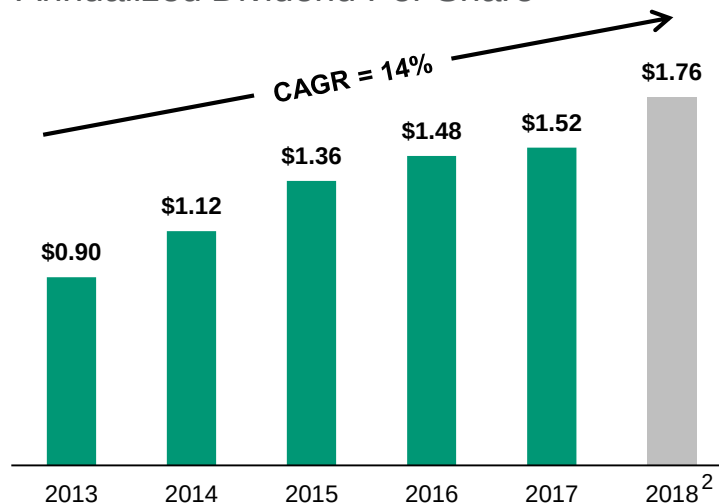
# Disciplined Approach to Capital Allocation

| Investing in Growth Opportunities                                                                                                                                           |                                                                                                                                                                                                | Return of Capital                                                                                                                                                                           |                                                                                                                                                                                                                |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  <p><b>Reinvestment</b></p> <p>Invest in existing businesses to support organic growth</p> |  <p><b>Acquisitions</b></p> <p>Evaluate carefully to make sure aligned with strategy and market evolution</p> |  <p><b>Dividends</b></p> <p>Grow dividend in line with earnings; target 25% - 30% payout<sup>1</sup></p> |  <p><b>Share Repurchase</b></p> <p>Follow reinvestment, dividends and acquisitions in capital allocation prioritization</p> |

## Share Repurchases and Dividends Paid



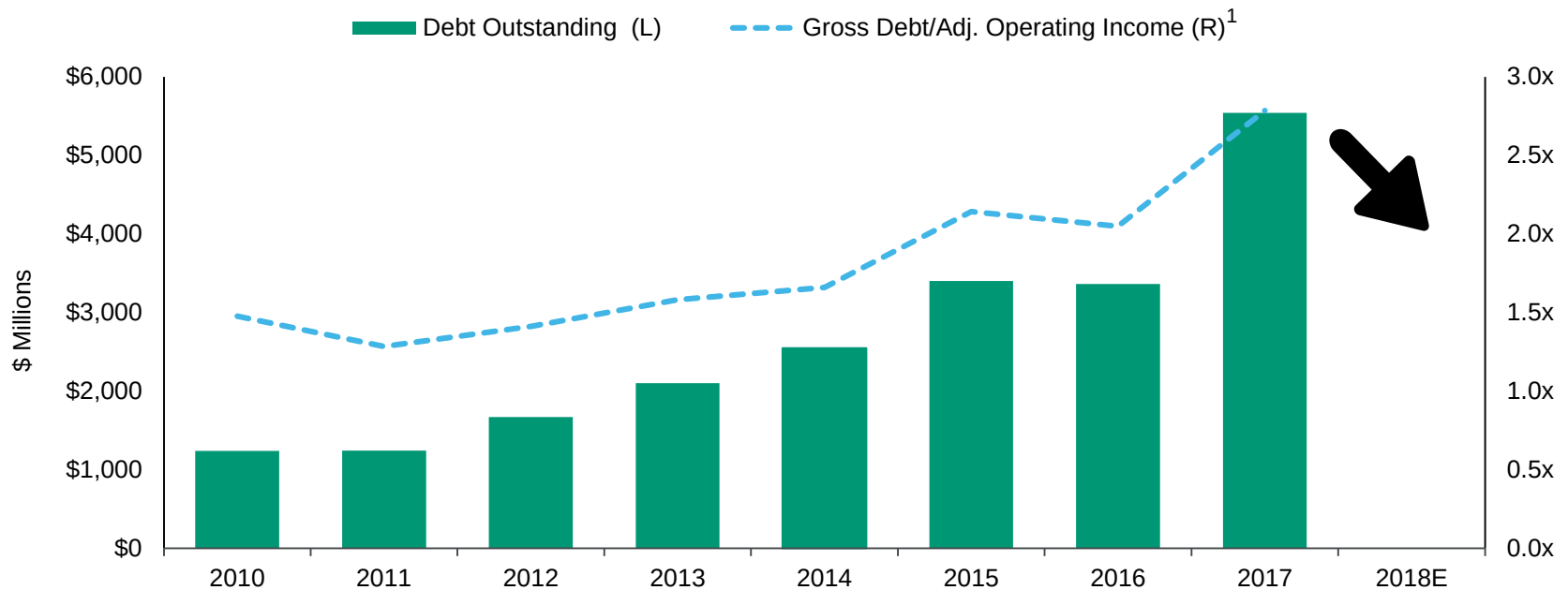
## Annualized Dividend Per Share



<sup>1</sup> Dividend payout ratio is defined as dividends per share paid/adjusted net income.

<sup>2</sup> Annualized dividend total, based on first quarter dividend declared on January 24, 2018.

# De-leveraging in 2018 to Maintain Current BBB+ Credit Rating



- » Current long-term credit ratings from S&P and Fitch are BBB+ (negative) / BBB+ (stable)
- » Solid investment-grade rating provides reliable, cost-effective access to capital in a variety of market environments

<sup>1</sup> Amount is an adjusted measure. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP.

# 2018 Outlook

## Guidance as of February 9, 2018<sup>1</sup>

|                             |                                                             |
|-----------------------------|-------------------------------------------------------------|
| Revenue                     | Low-double digit % growth                                   |
| Operating Expenses          | Low-double-digit % growth                                   |
| Operating Margin            | 43% - 44%<br>~48% (Adjusted <sup>2</sup> )                  |
| Effective Tax Rate          | 22% - 23%                                                   |
| EPS                         | \$7.20 - \$7.40<br>\$7.65 - \$7.85 (Adjusted <sup>2</sup> ) |
| Free Cash Flow <sup>2</sup> | ~\$1.6 billion                                              |

<sup>1</sup> See press release titled "Moody's Corporation Reports Results for Fourth Quarter and Full Year 2017; Sets Outlook for Full Year 2018" from February 9, 2018 for Moody's full 2018 guidance.

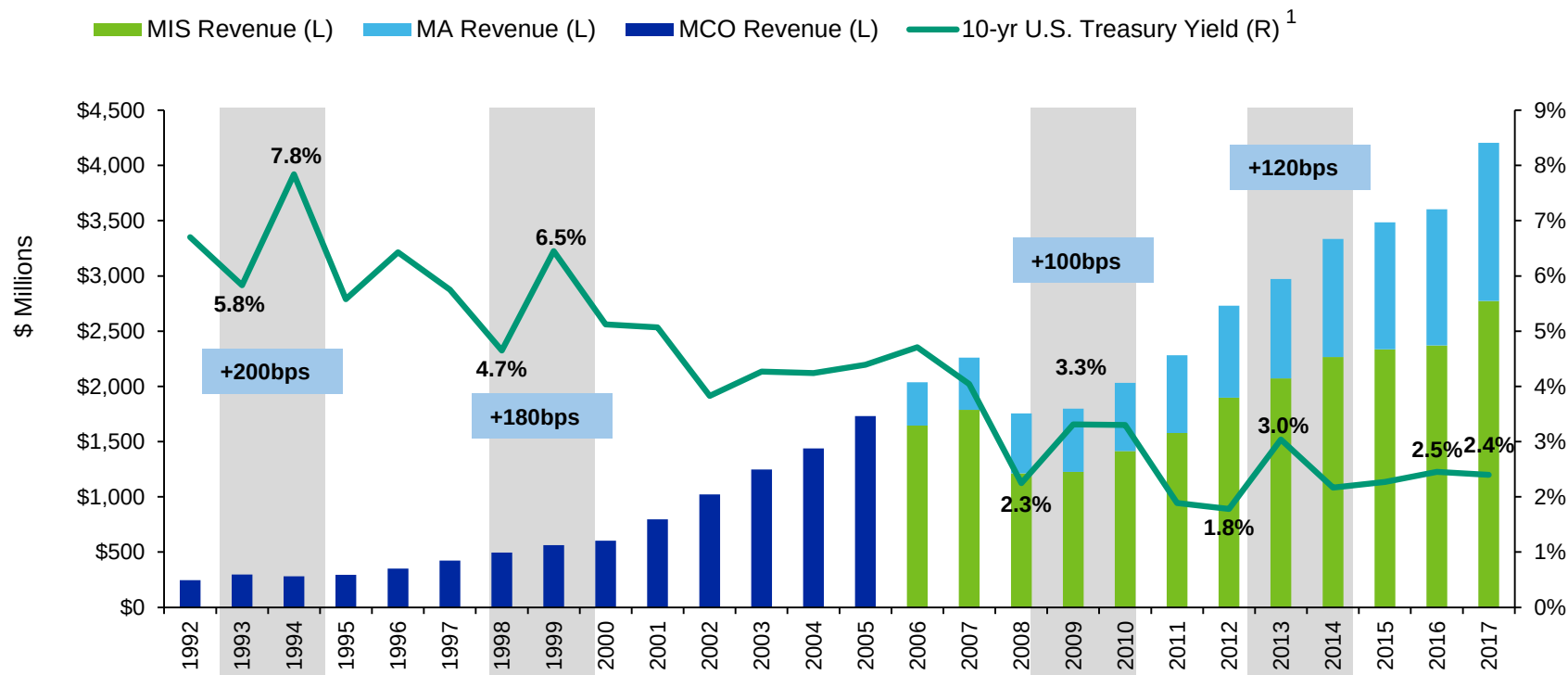
<sup>2</sup> These metrics are adjusted measures. See Appendix for reconciliations from adjusted financial measures to U.S. GAAP.

# 2

## Capital Markets Overview

# Historically, Rising Rates Have not had a Significant Impact on Moody's Revenue

## MCO Revenue and Interest Rates

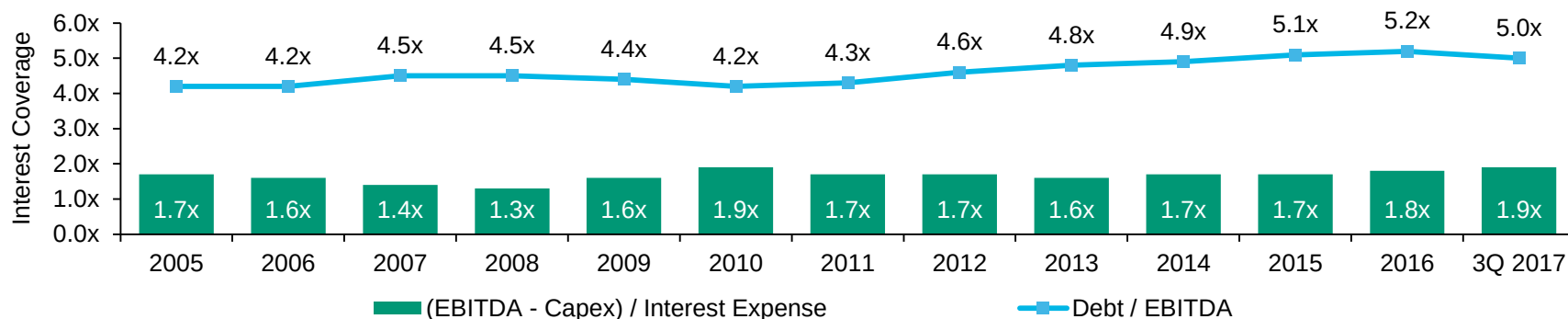


<sup>1</sup> 10-yr U.S. Treasury Yields are represented by the rate at the end-of-period.

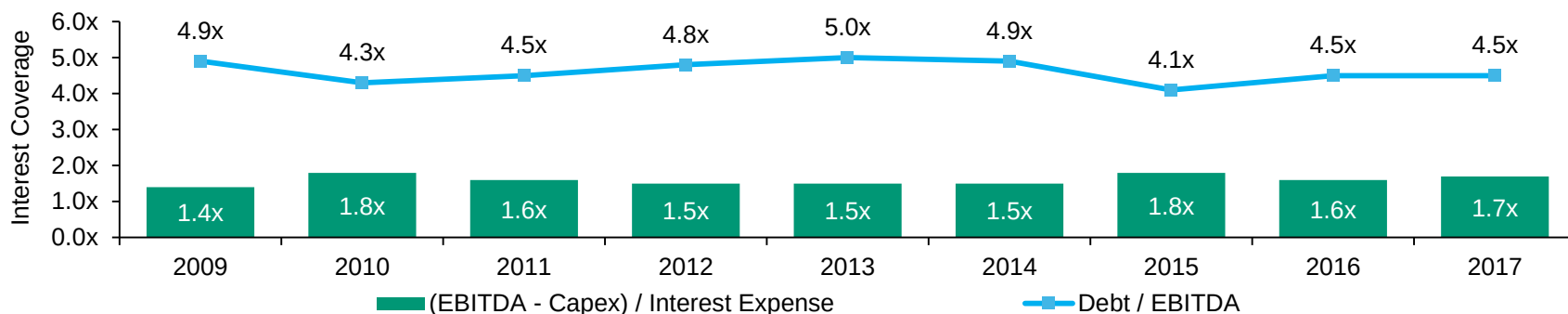
Source: [www.treasury.gov](http://www.treasury.gov).

# Debt Leverage Down in North America, Stable in Europe; Interest Coverage Remains Steady

## Credit Metrics: North American Speculative Grade Companies



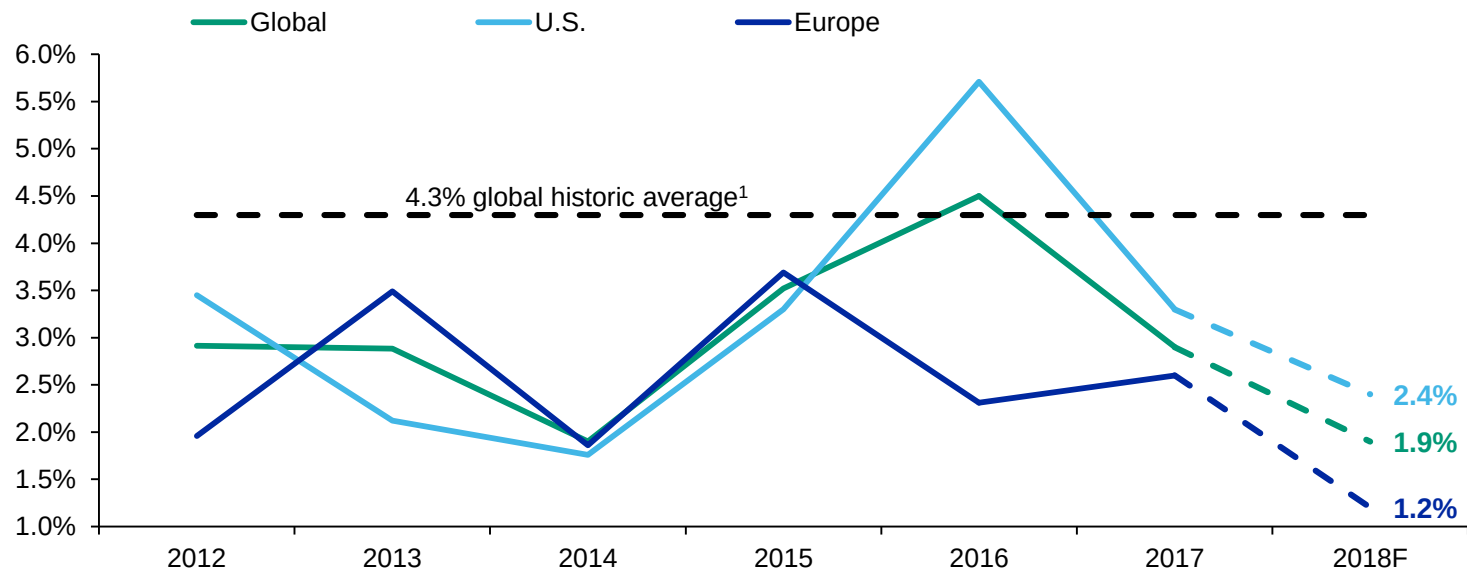
## Credit Metrics: European Speculative Grade Companies





# Global Default Rates Remain Under Historic Average

Default Rates for Corporate Rated Issuance<sup>1</sup>

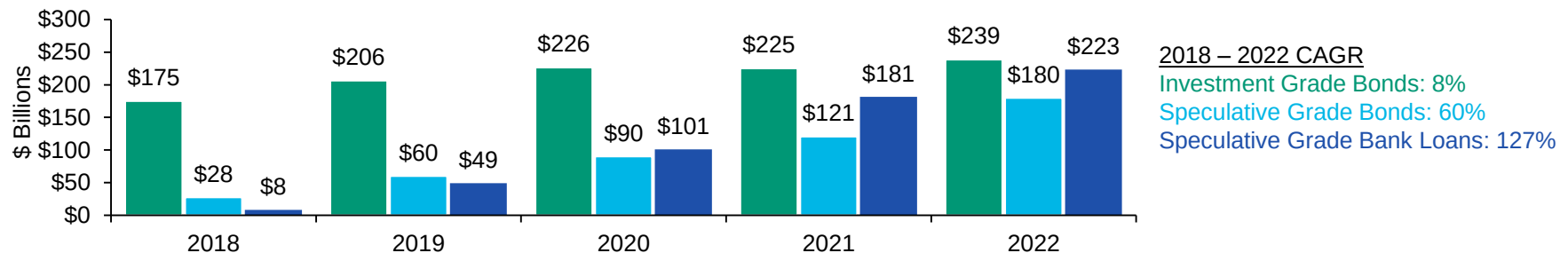


- » Global speculative-grade default rate at 2.9% as of December 31, 2017; expected to decline to 1.9% by December 2018

<sup>1</sup> Moody's rated corporate global speculative grade default historical average of 4.3% since 1998. 2018 forecast for trailing twelve months ended December 31, 2018. Source: Moody's Investors Service.

# North America and EMEA Non-Financial Corporates Have Significant Refunding Needs<sup>1</sup>

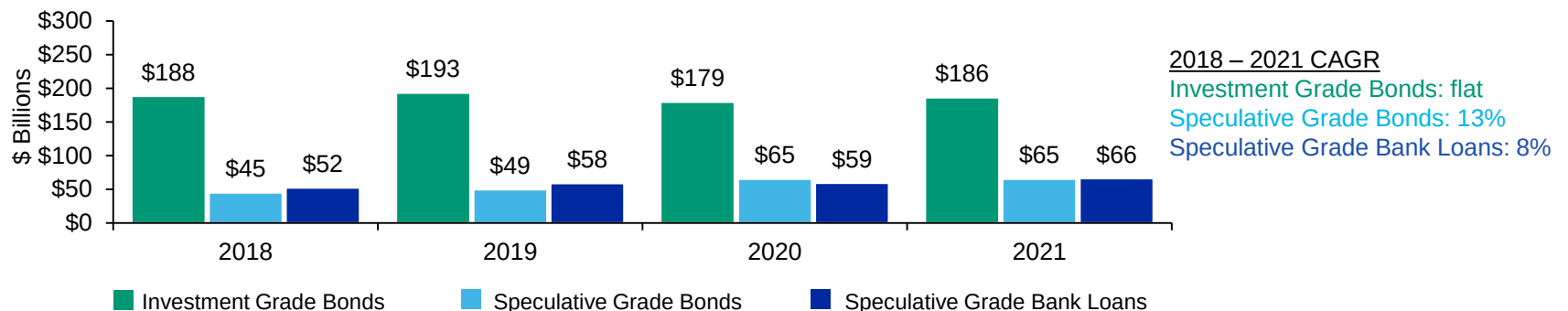
## Debt Maturities: North America Moody's-Rated Corporate Bonds and Loans



Source: MIS, February 2018.

Note: Data represents U.S. & Canadian MIS rated corporate bonds & loans.

## Debt Maturities: EMEA Moody's-Rated Corporate Bonds and Loans

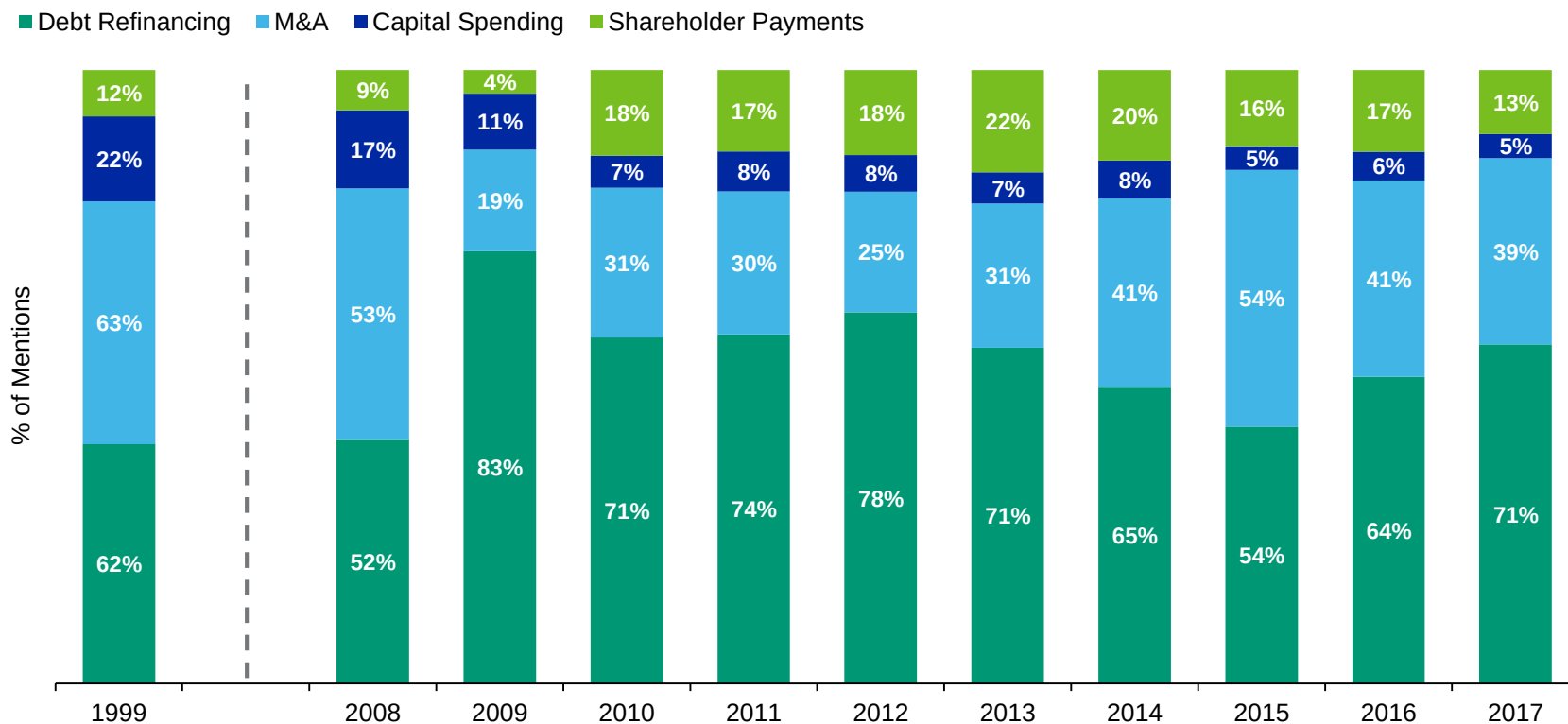


Source: MIS, July 2017.

<sup>1</sup> Amount reflects total maturities identified in the above sources.

# Debt Refinancing and M&A are Most Frequently Stated Uses of Proceeds

## Uses of Funds from USD High Yield Bonds and Bank Loans<sup>1</sup>

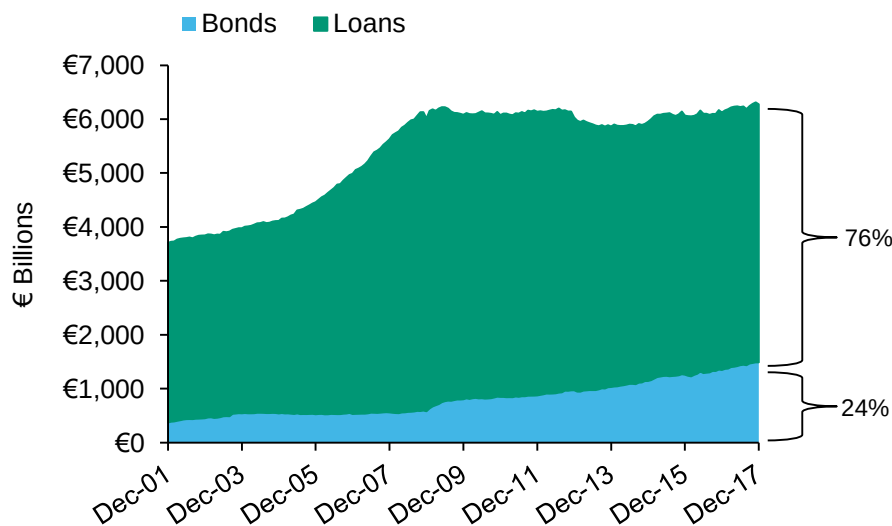


1 Percent of mentions for each respective period in bond issue or bank loan program tranche documents. Excludes issues of less than \$25 million and general corporate purposes. An issue can have multiple purposes and, as a result, percentages do not sum to 100%.

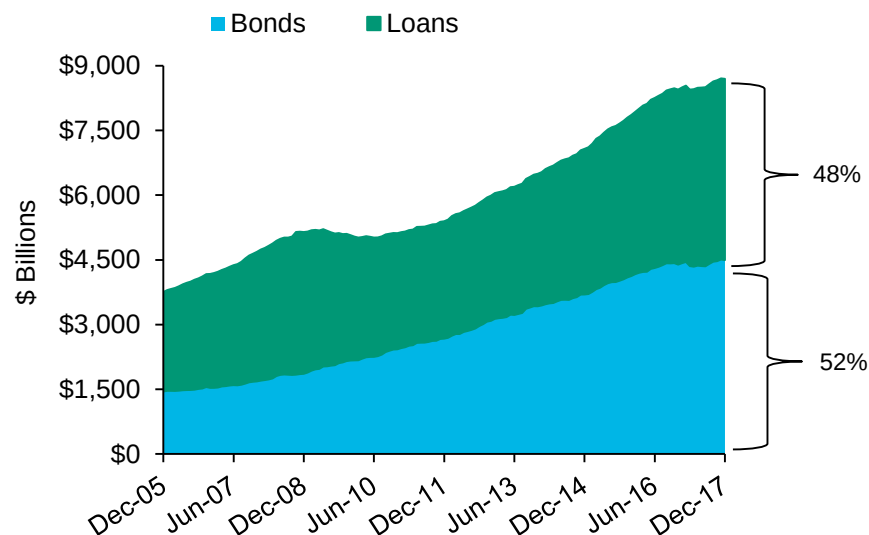
Source: Moody's Analytics.

# Disintermediation of Credit is an Ongoing Trend in the Global Capital Markets

## European Non-Financial Corporate Bonds vs. Bank Loans Outstanding



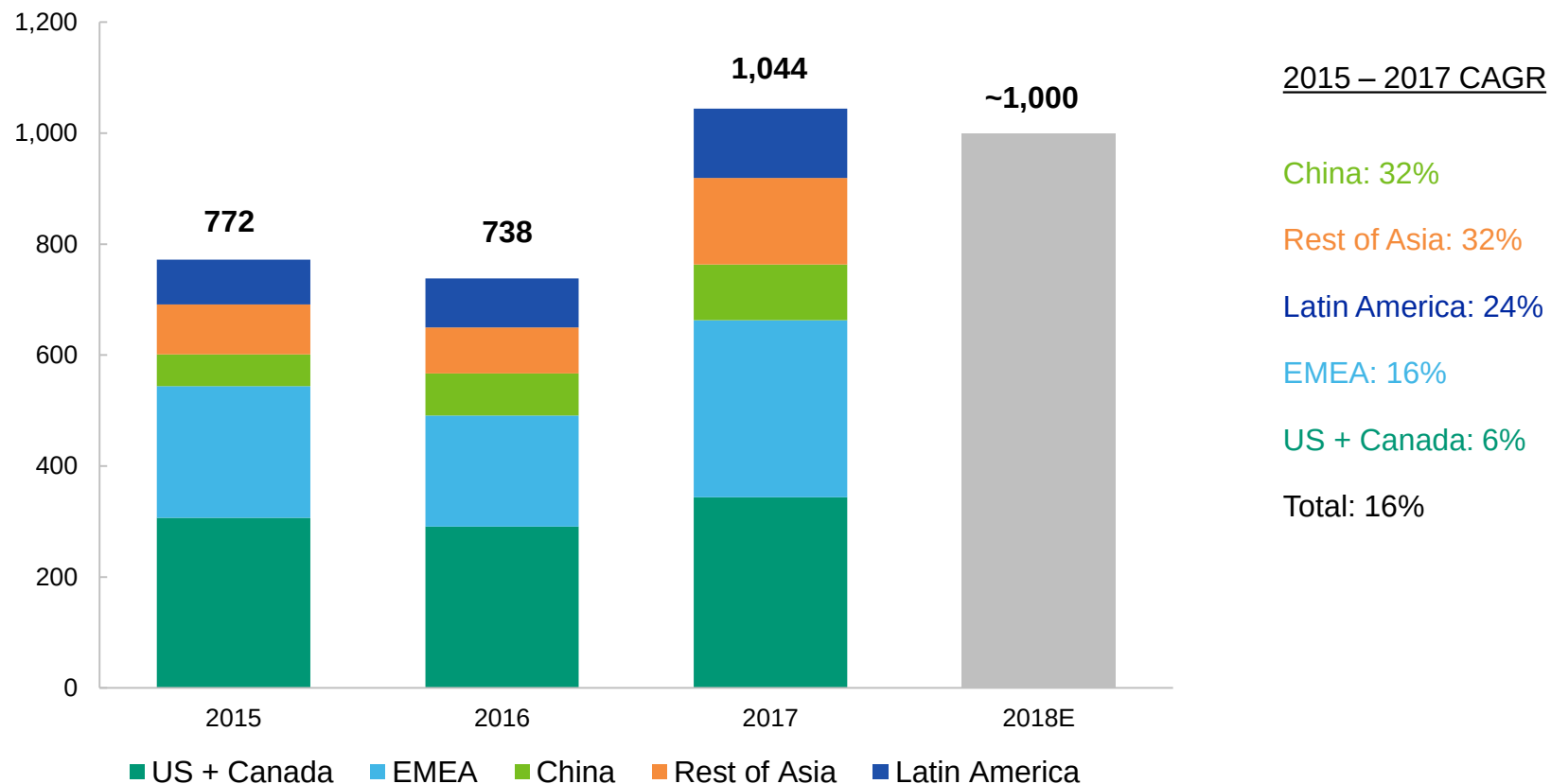
## U.S. Non-Financial Corporate Bonds vs. Bank Loans Outstanding



Sources: ECB, Federal Reserve, BarCap Indices. Europe bank loan data includes Eurozone and UK bank loans. Europe bond data includes euro and sterling denominated bonds. European and U.S. data is through December 2017.

# Growth of New Mandates Driven by Asia

## Global New Rating Mandates<sup>1</sup>



<sup>1</sup> Rated by Moody's Investors Service.

Source: Moody's Investors Service, January 2018.

3

Moody's Investors Service

# Moody's Investors Service: A Leading Provider of Credit Ratings, Research and Risk Analysis



# Illustrative Value of a Moody's Rating

**Example: 10 year \$500 million corporate bond**

| <u>Unrated</u>  |                                  | <u>Rated by Moody's</u> |
|-----------------|----------------------------------|-------------------------|
| \$500,000,000   | <b>Bond</b>                      | \$500,000,000           |
| x 4.3%          | <b>Interest rate</b>             | x 4.0%                  |
| <hr/>           |                                  | <hr/>                   |
| = \$21,500,000  | <b>Annual interest payments</b>  | = \$20,000,000          |
| x 10 years      | <b>Tenor</b>                     | x 10 years              |
| <hr/>           |                                  | <hr/>                   |
| = \$215,000,000 | <b>Lifetime interest expense</b> | = \$200,000,000         |

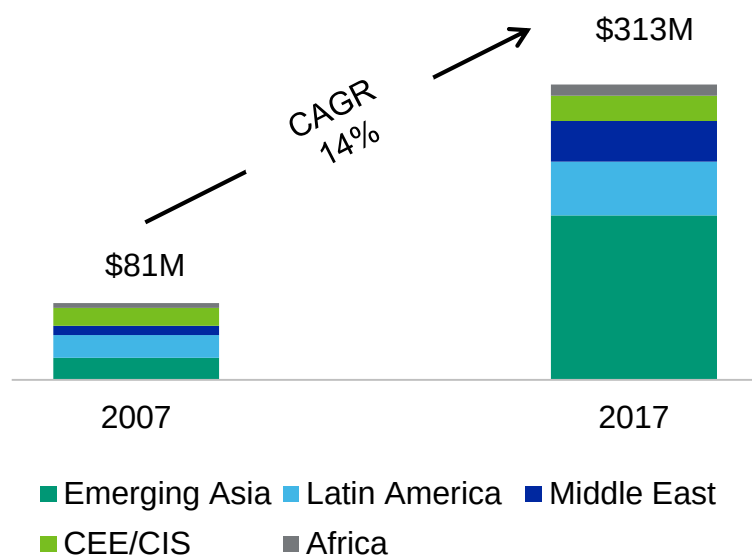
**\$15 million in total interest expense  
vs.  
lifetime cost of a rating**

Note: Illustrative spread differential based on feedback from syndicate desks and FBR & Co. research on Moody's Corporation (January 2014) which stated that obtaining a Moody's rating typically saves approximately 30 basis points per year for investment grade issuers. Many factors go into the pricing of a bond.

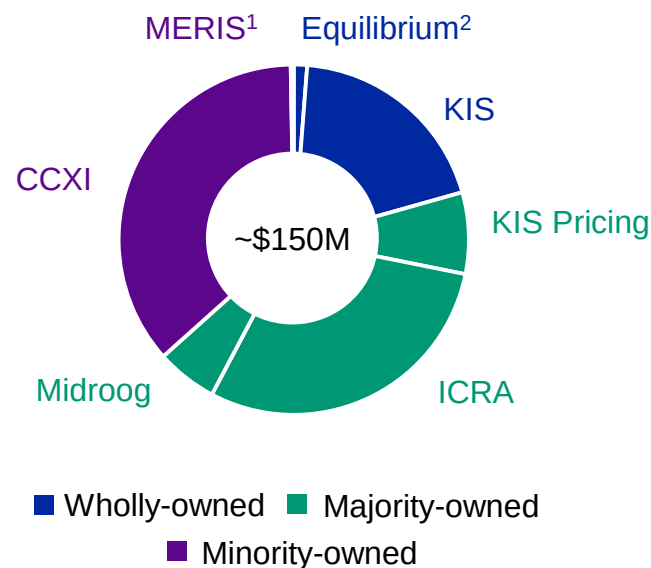


# Investing in Emerging Markets Growth

Revenue in emerging markets



MIS affiliate revenue in 2017



2013

2014

2015

2016

2017

- » MIS Warsaw Office
- » MIS Shanghai Office
- » MIS Mumbai Office



(Increased stake to 50.1%)



(Acquired 100%)



(Increased stake to 100%)

» Saudi Arabia

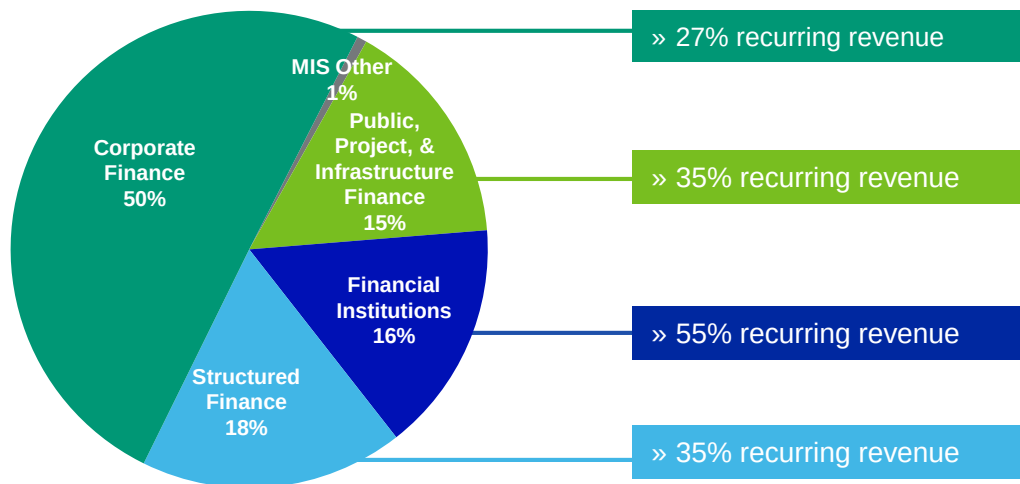
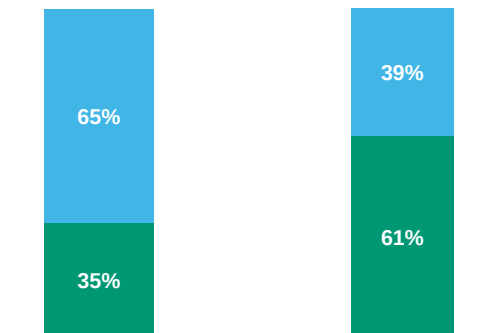


1 Trailing one quarter.  
2 Trailing one month.

# Moody's Investors Service Financial Profile

FY 2017 Revenue: \$2.8 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



## 2018 Revenue Guidance as of February 9, 2018

|                                          |   |                           |
|------------------------------------------|---|---------------------------|
| Global                                   | ↑ | mid-single-digit % range  |
| U.S.                                     | ↑ | low-single-digit % range  |
| Non-U.S.                                 | ↑ | high-single-digit % range |
| Corporate Finance                        | ↑ | high-single-digit % range |
| Structured Finance                       | ↑ | mid-single-digit % range  |
| Financial Institutions                   | ↑ | mid-single-digit % range  |
| Public, Project & Infrastructure Finance | ↓ | low-single-digit % range  |

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Moody's Analytics

# Moody's Analytics Provides Essential Insight Serving Financial Markets



## Research Data & Analytics

- Credit research, data & ratings feeds
- Global private company data
- Economic research, data & models
- Structured finance analytics & data



## Enterprise Risk Solutions

- Credit risk & actuarial analytics
- Software that automates credit risk & actuarial activity
- Solutions that facilitate compliance with regulation & accounting standards
- Platforms that improve portfolio & capital strategy



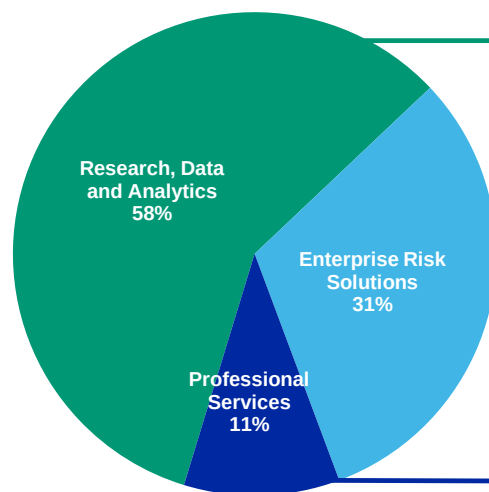
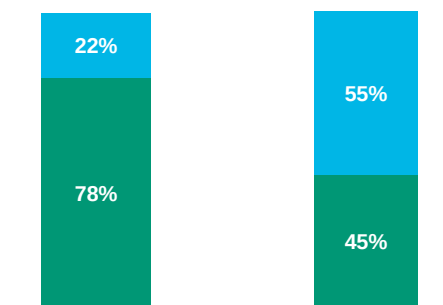
## Professional Services

- Outsourced research & consulting
- Professional certifications
- In-house training
- eLearning

# Moody's Analytics Financial Profile

FY 2017 Revenue: \$1.4 billion

■ Recurring ■ Transaction ■ U.S. ■ Non-U.S.



» > 95% recurring revenue  
» 96% retention rate<sup>1</sup>

» 69% recurring revenue

» Combination of one-off contracts and semi-recurring revenue

## 2018 Revenue Guidance as of February 9, 2018

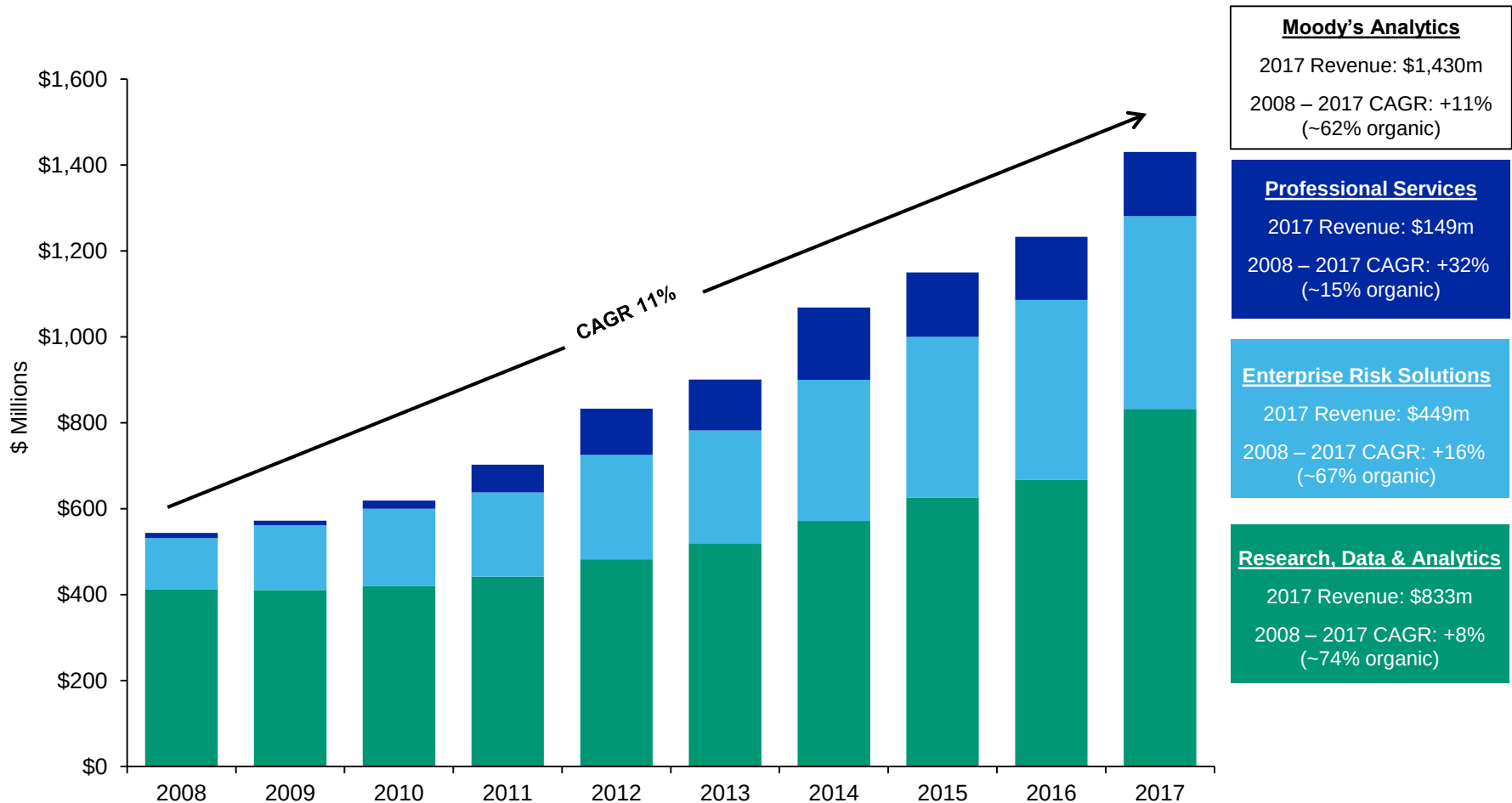
|                                         |   |                           |
|-----------------------------------------|---|---------------------------|
| Global <sup>2</sup>                     | ↑ | mid-twenties % range      |
| U.S.                                    | ↑ | low-double-digit % range  |
| Non-U.S.                                | ↑ | mid-thirties % range      |
| Research, Data & Analytics <sup>2</sup> | ↑ | approximately 40%         |
| Enterprise Risk Solutions               | ↑ | low-single-digit % range  |
| Professional Services                   | ↑ | high-single-digit % range |

<sup>1</sup> Excludes Bureau van Dijk.

<sup>2</sup> Organic MA global revenue is expected to increase in the low-double-digit percent range and organic RD&A revenue is expected to increase in the mid-teens percent range.

# Moody's Analytics has Several Platforms for Growth

Added ~\$900 Million in Revenue Since Inception



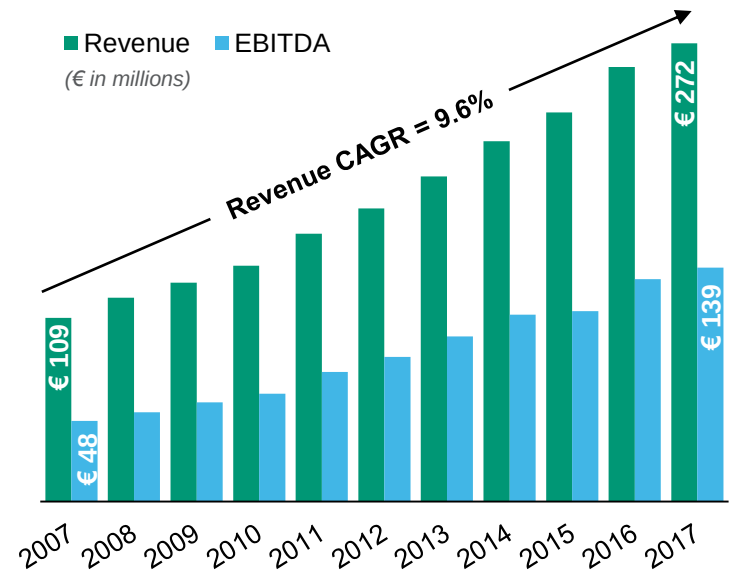
Note: Individual line of business revenues may not foot due to rounding.

# Bureau van Dijk Acquisition

Bureau van Dijk aggregates, standardizes and distributes an extensive private company data set

- » **€3 billion acquisition closed on August 10, 2017**
- » Bureau van Dijk is a leading aggregator and distributor of private company business intelligence and data, **serving over 6,000 unique institutions worldwide**
- » **Extends MA's reach** beyond financial institutions and insurance
- » **Adds capacity to MA's attractive RD&A business** through extensive customer base and geographic footprint
- » **Combination anticipated to deliver significant synergies.** Expect ~\$45 million in annual revenue and expense synergies by 2019, increasing to ~\$80 million by 2021<sup>1</sup>
- » **Integration proceeding according to plan** with focus on implementing controls appropriate for a unit of a listed U.S. company while delivering on strategy and business plan.

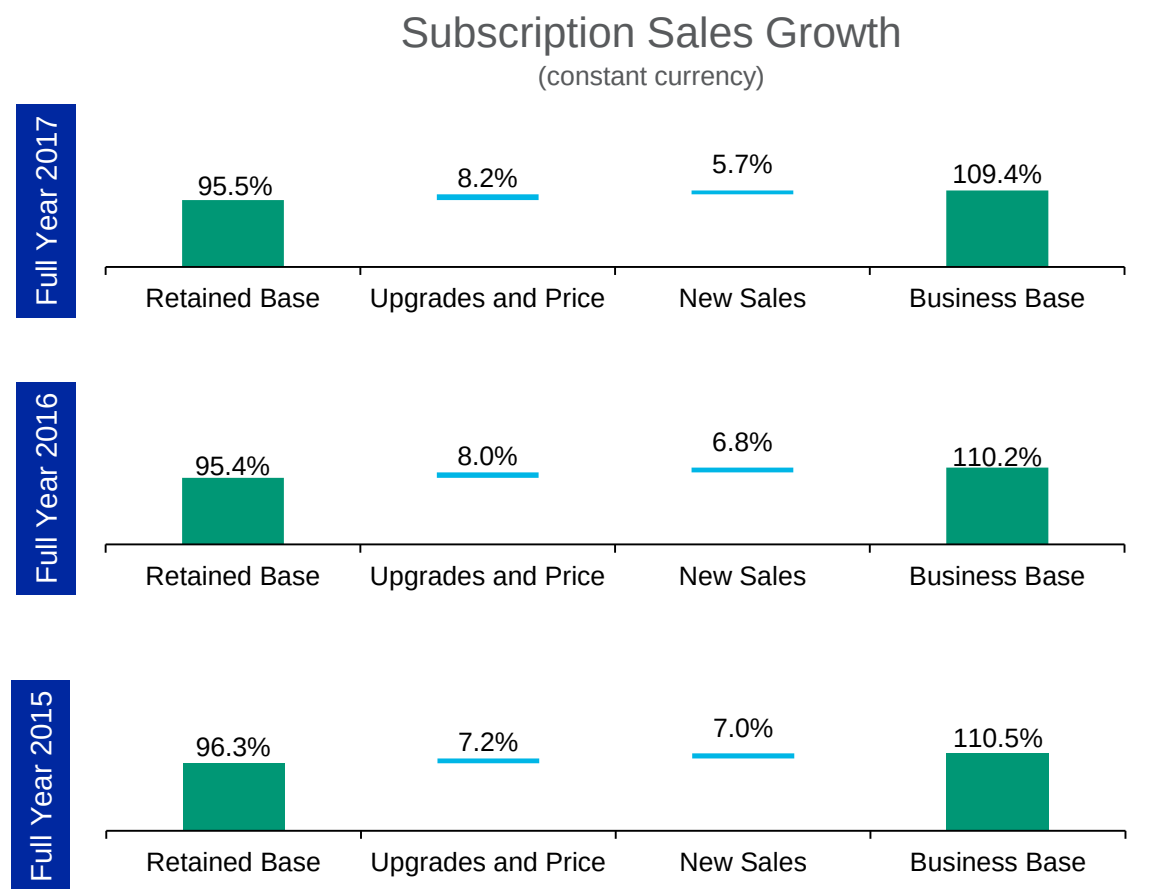
## Long History of Profitable Growth<sup>2</sup>



<sup>1</sup> Anticipated annual revenue and expense synergies, as of February 9, 2018.

<sup>2</sup> Based on IFRS.

# RD&A: Subscription Growth Driven by Retention, Upgrades and Pricing & New Sales



Expansion of ratings coverage



Production of insightful credit analysis



New customers in geographies with developing debt capital markets



Expansion of data sets and delivery options



Strong customer retention

Note: The sales growth attributions presented on this slide are related to RD&A subscription sales on a constant currency basis. Upgrades reflect amendments to existing customer contracts. New Sales reflect new contracts with new and existing customers.



# ERS Solutions Address Diverse Needs and Customers

## Credit Risk & Actuarial Analytics

Helps risk managers assess and manage current and future exposures across all asset classes

## Accounting Calculation & Reporting

Produces key calculations and reports required by many of the world's accounting standards

## Regulatory Calculation & Reporting

Generates key calculations and reports required by many of the world's financial regulations

## Credit Assessment & Origination

Automates financial spreading and credit scoring, decision making and monitoring

## Portfolio & Capital Strategy

Helps firms to improve portfolio performance and meet regulatory and economic capital requirements

## Asset & Liability Management

Integrates ALM, liquidity risk management, funds transfer pricing and regulatory reporting capabilities into a seamless enterprise platform



Banks



Insurers



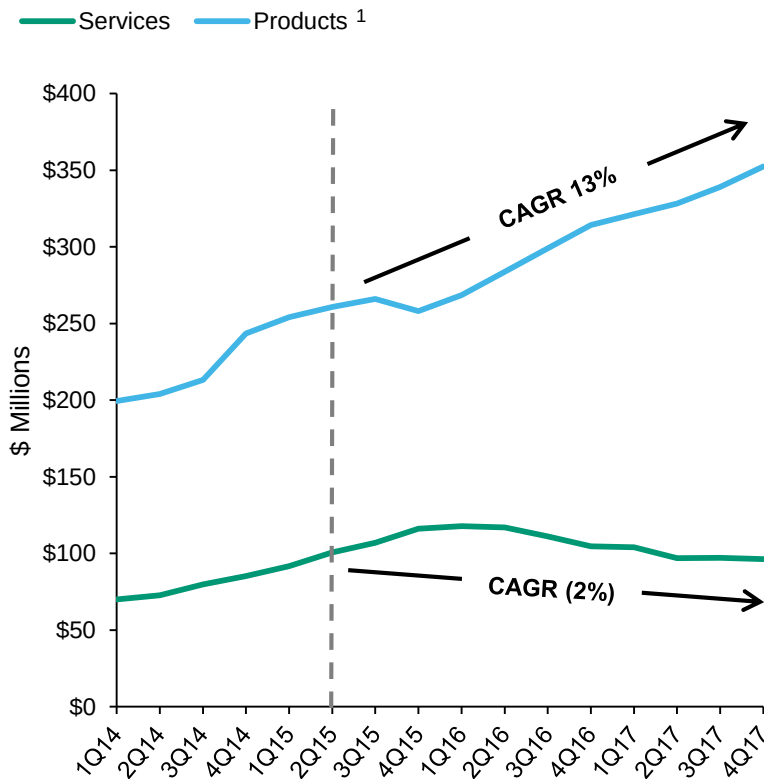
Asset Managers



Corporates

# ERS Business and Technology Drivers Shifting Mix to Higher Margin Product Sales

## ERS: TTM Revenue



<sup>1</sup> Products revenue include subscriptions, license and maintenance.

## Business Drivers

End user objectives are shifting to efficiency and business growth, while regulatory and accounting requirements continue to drive investment.



## Technology Drivers

New technologies are giving rise to changing client requirements and expectations, opportunities for innovation and new sources of growth.



# Professional Services: Extending the Brand Into New Markets and Deepening Customer Relationships

| Knowledge Process Outsourcing                                                                                                                                                                                                                                                                                                                                                                                                             | Certificates, Designations & Accreditations                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Financial Services Training                                                                                                                                                                                                                                                                                                                             |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>» Leading provider of research, analytics and business intelligence services that help global financial institutions improve processes, enhance profitability and drive revenues</li><li>» Bespoke solutions delivered by client-dedicated analyst teams for over 180 clients</li><li>» More than 2,600 employees, with client delivery centers in India, China, Sri Lanka and Costa Rica</li></ul> | <ul style="list-style-type: none"><li>» Exclusive provider of licensing courses and exams to meet regulatory standards set by the Investment Industry Regulatory Organization of Canada (IIROC)</li><li>» Approved by Reserve Bank of India (RBI) to provide banking professionals with mandatory credit certifications</li><li>» Partnered with National Institute of Securities Markets (NISM) to provide Indian securities professionals with advanced capital markets certifications</li></ul> | <ul style="list-style-type: none"><li>» Artificial Intelligence-powered scalable personalized learning solutions</li><li>» Deliver targeted online training to address individual behavioral deficiencies</li><li>» Focus on developing markets:<ul style="list-style-type: none"><li>- Africa</li><li>- Asia</li><li>- Middle East</li></ul></li></ul> |

5

Conclusion

# Why Invest in Moody's?

- » **We strive to be the world's most respected authority serving risk-sensitive financial markets**
- » **We have had strong revenue and earnings growth, as well as cash flow conversion**
  - 2013 – 2017 revenue CAGR of 9%
  - 2013 – 2017 adjusted diluted EPS<sup>1</sup> CAGR of 15%
  - 2013 – 2017 free cash flow<sup>1</sup> conversion rate of ~28%
- » **We are committed to returning capital to our shareholders**
  - 2013 – 2017 returned \$5.4 billion, or 114% of free cash flow, to shareholders via share repurchases and dividends
- » **We will selectively invest in strategic growth opportunities**
  - Leverage brand to extend our relevance in financial markets
  - Expand our product offerings and geographic influence

1 Adjusted diluted EPS is an adjusted measure. See appendix for reconciliations from adjusted financial measures to U.S. GAAP.

# Globally and locally acknowledged for award-winning tools to measure and manage risk.

## Moody's Investors Service



Best Islamic Rating Agency: 2015, 2017



Best CLO Rating Agency: 2016–2017



Multi-award winner, including best rating agency categories: 2015–2017



Best Rating Agency: 2017



#1 US Credit Rating Agency: 2012–2017



Multi-Award Winner, Including Best Ratings Agency: 2016



Most Influential Credit Rating Agency: 2013–2016



#1 Asia Credit Rating Agency: 2012–2016



Australia's Rating Agency of the Year: 2014–2016



Market Leadership Award, Islamic Financial Intelligence & Ratings: 2016  
Best Islamic Finance Rating Agency: 2015



#1 US Rating Agency: 1997–2017

## Moody's Analytics



Best Solvency II Tech Solutions Category Winner



Technology Vendor of the Year



Stress Testing Product of the Year Category Winner  
Economic Scenario Generation Product of the Year Category Winner  
Solvency II Product of the Year Category Winner  
Regulatory Reporting Product of the Year Category Winner



Best Buy-Side Market Surveillance Tool Category Winner – Structured Finance Portal



Ranked 5 out of 100 Credit Risk Category Winner  
Enterprise Stress Testing Solution Category Winner



#1 IFRS 9  
#1 Asset and Liability Management  
#1 Regulatory Capital Calculation and Management



Ranked 19th in the Overall Top 100 Rankings



Best Credit Risk Solution Provider – RiskCalc™



Compliance Risk, Liquidity Risk, Enterprise Risk and Risk Technology Implementations of the Year



CLO Data Provider of the Year



Crystal Ball Award Winner, 2012  
Expectations category (2- and 3-Year Horizon)



Front-Line Customer Service Team of the Year - Financial Services Industries  
Award for Innovation in Customer Service - Financial Services Industries



#1 Enterprise-Wide Stress Testing  
#1 Risk Capital Calculation



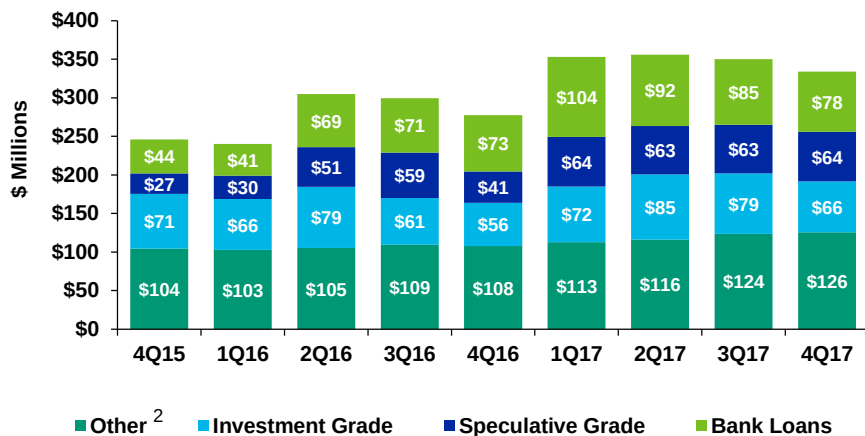
Best Solvency II solution and Best ESG solution

6

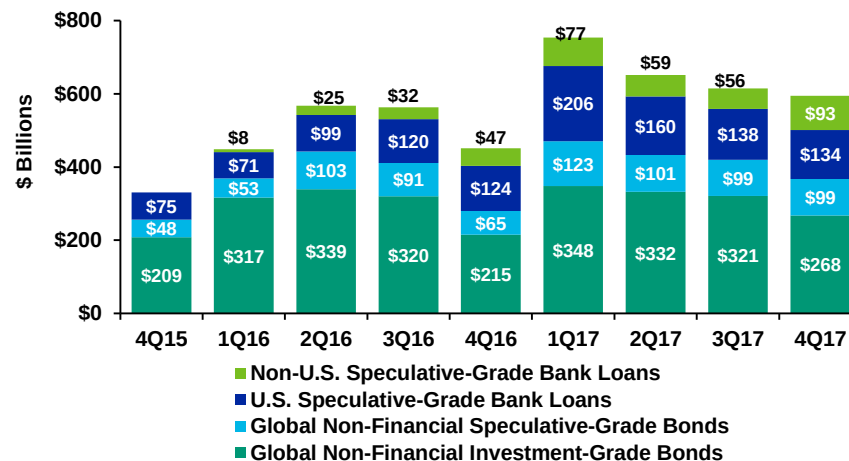
Appendix

# Corporate Finance: Revenue and Issuance

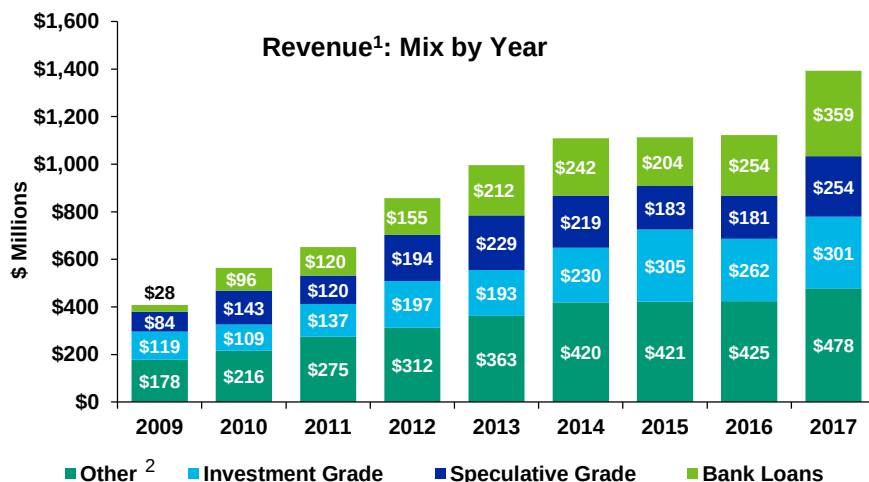
Revenue<sup>1</sup>: Mix by Quarter



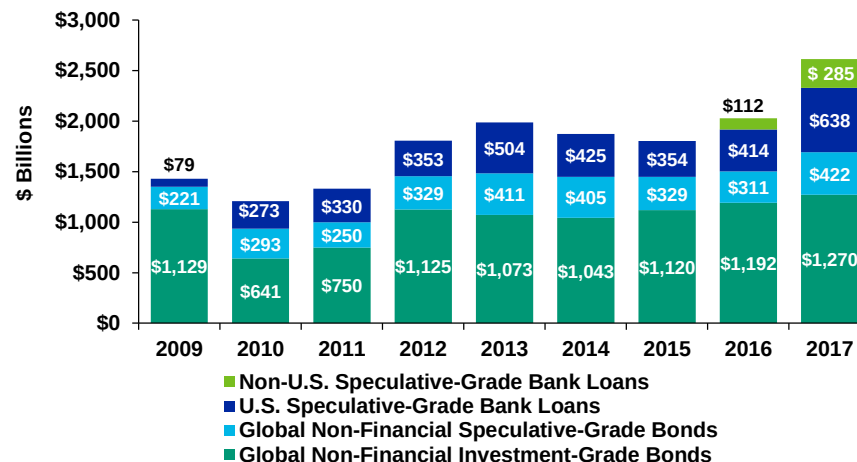
Issuance<sup>3</sup>: Mix by Quarter



Revenue<sup>1</sup>: Mix by Year



Issuance<sup>3</sup>: Mix by Year



1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

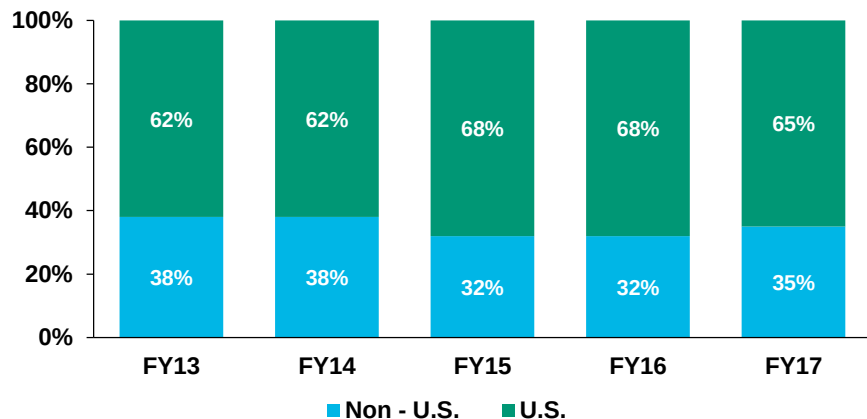
2 Other includes: monitoring, commercial paper, medium term notes, and ICRA.

3 Sources: Moody's Analytics, Dealogic; U.S. and Non-U.S. Speculative-Grade Bank Loans represent only Moody's rated speculative-grade bank loans. Non-U.S. Speculative-Grade Bank Loan Origination data available starting 2016. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

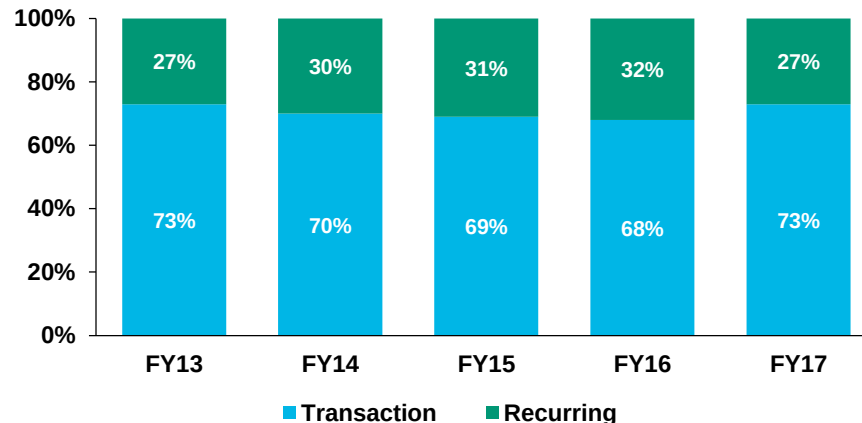


# Corporate Finance: Revenue Diversification

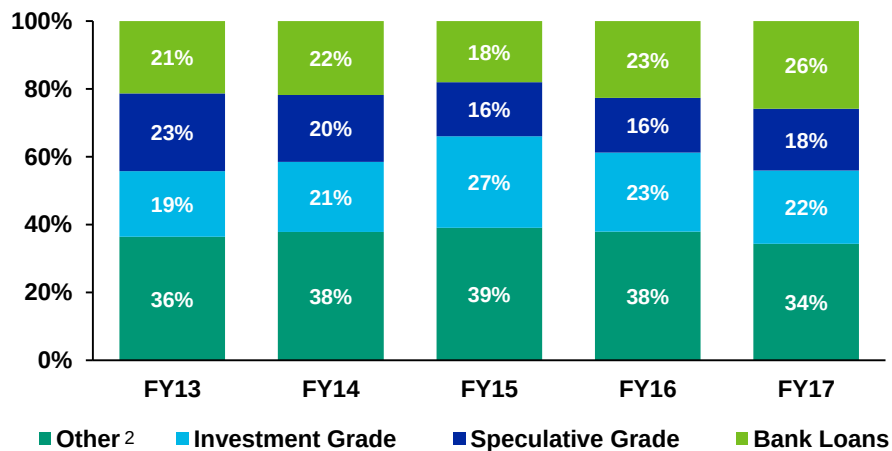
Revenue<sup>1</sup>: Distribution by Geography



Revenue<sup>1</sup>: Distribution by Recurring vs. Transaction



Revenue<sup>1</sup>: Distribution by Product



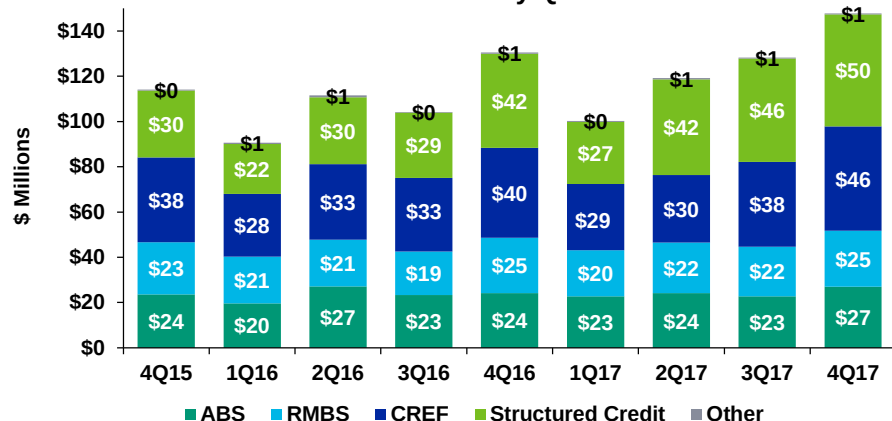
1. Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2. Other includes: monitoring, commercial paper, medium term notes, and ICRA.

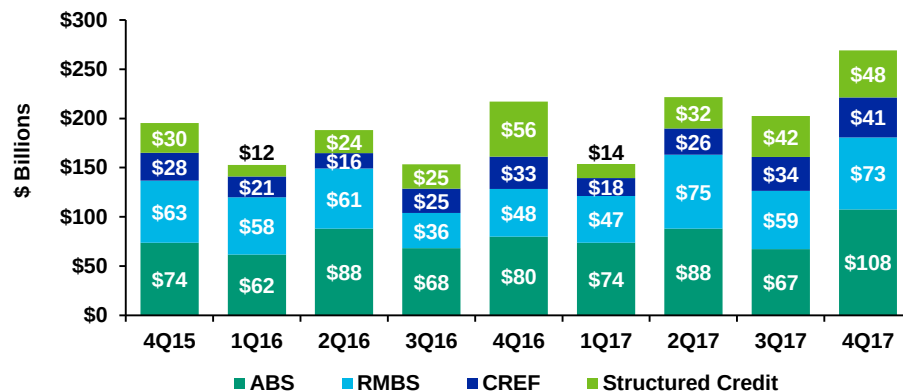
Percentages have been rounded and may not total to 100%.

# Structured Finance: Revenue and Issuance

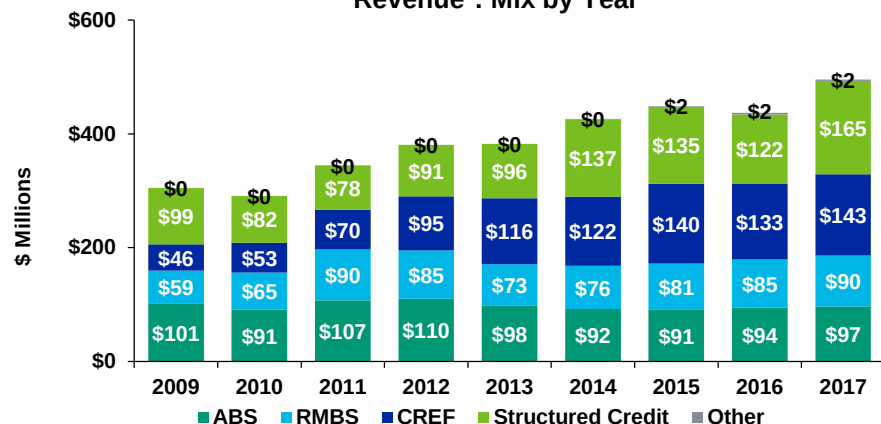
Revenue<sup>1</sup>: Mix by Quarter



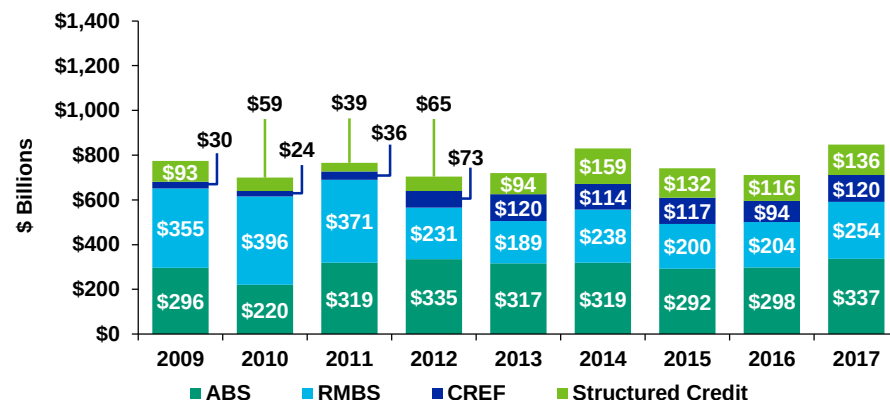
Issuance<sup>2</sup>: Mix by Quarter



Revenue<sup>1</sup>: Mix by Year



Issuance<sup>2</sup>: Mix by Year



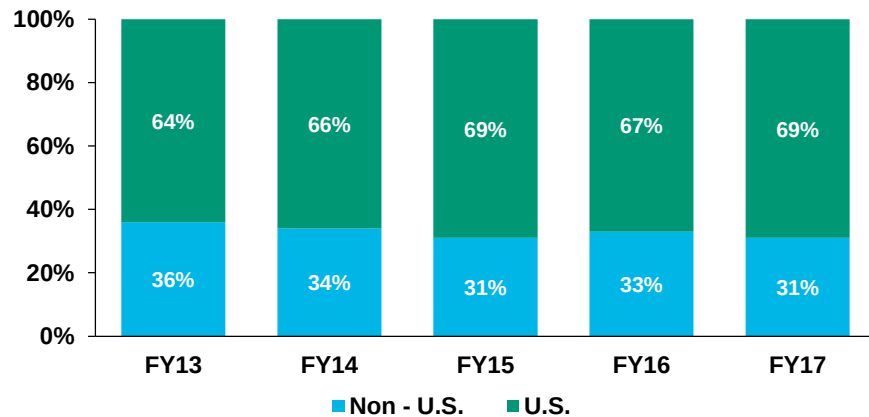
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Sources: AB Alert, CM Alert, Moody's Corporation. Debt issuance categories do not directly correspond to Moody's revenue categorization.

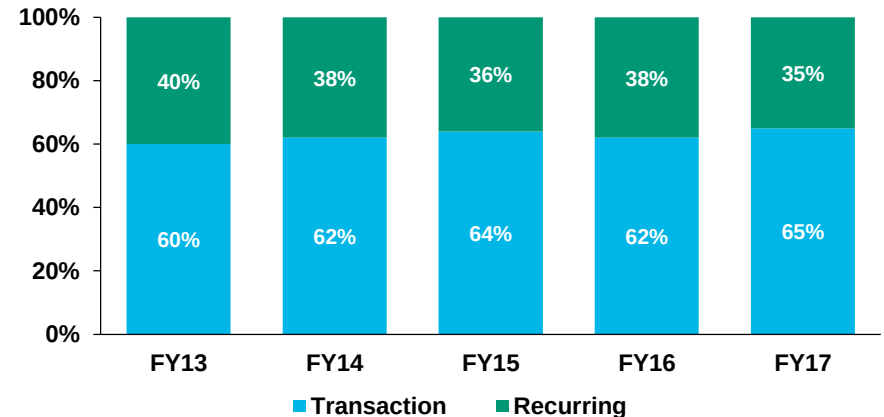
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

# Structured Finance: Revenue Diversification

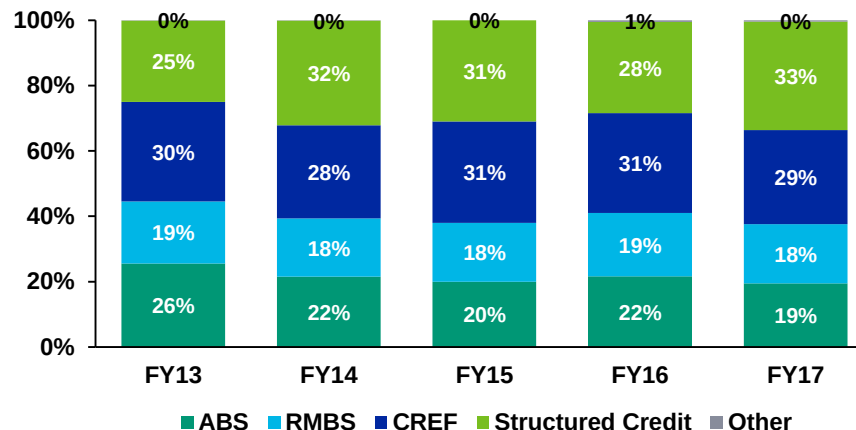
Revenue<sup>1</sup>: Distribution by Geography



Revenue<sup>1</sup>: Distribution by Recurring vs. Transaction



Revenue<sup>1</sup>: Distribution by Product



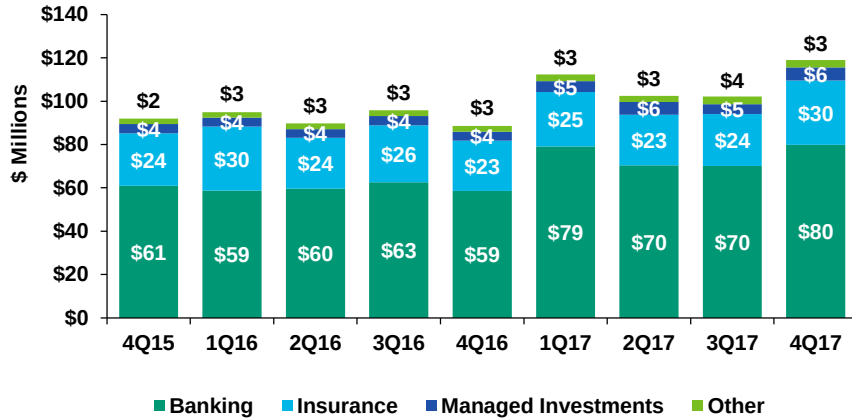
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

Percentages have been rounded and may not total to 100%.

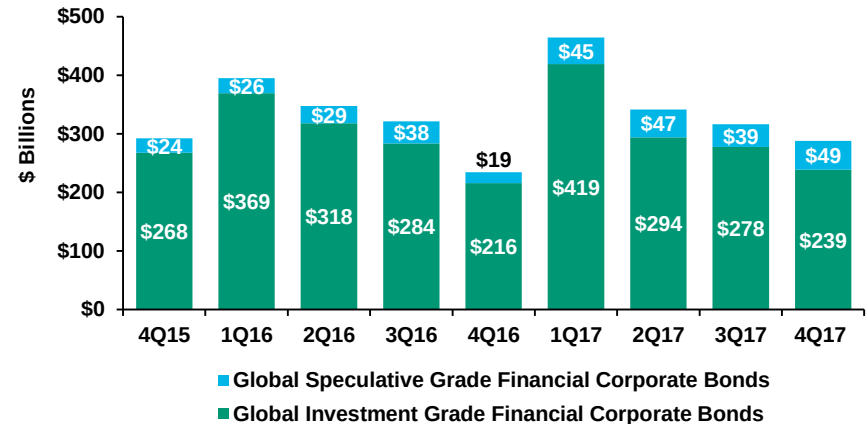
Notes: ABS (Asset Backed Securitization) includes asset-backed commercial paper and long-term asset-backed securities. RMBS (Residential Mortgage Backed Securitization) includes covered bonds. CREF (Commercial Real Estate Finance) includes commercial mortgage-backed securities, real estate finance, commercial real estate CDOs, and real estate investment trusts (REITs). Structured Credit includes CLOs and CDOs.

# Financial Institutions: Revenue and Issuance

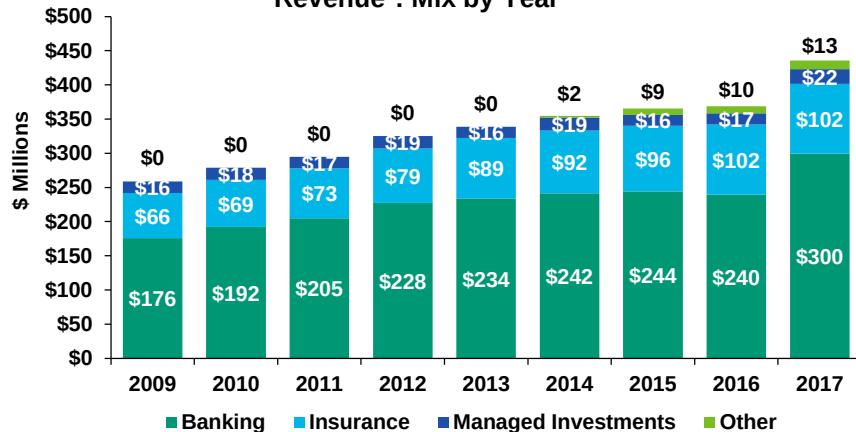
Revenue<sup>1</sup>: Mix by Quarter



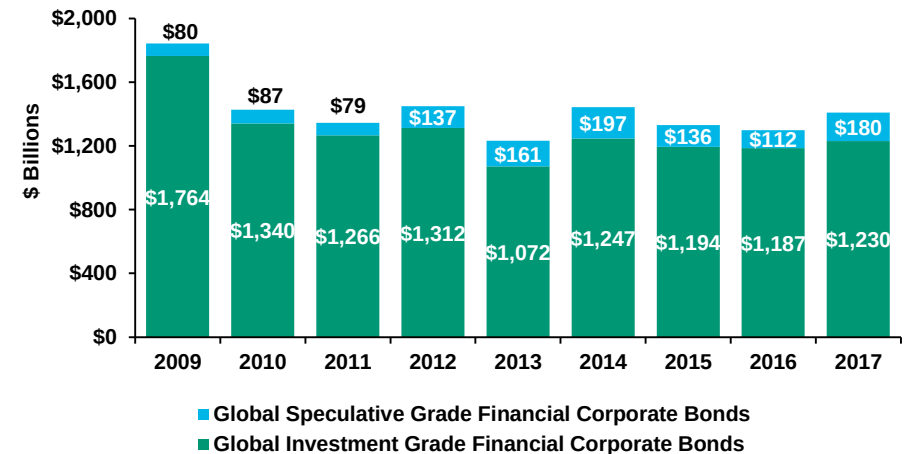
Issuance<sup>2</sup>: Mix by Quarter



Revenue<sup>1</sup>: Mix by Year



Issuance<sup>2</sup>: Mix by Year

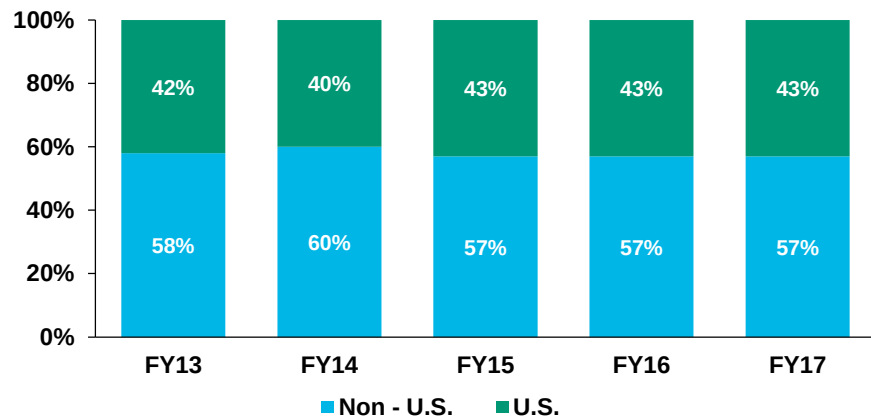


1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

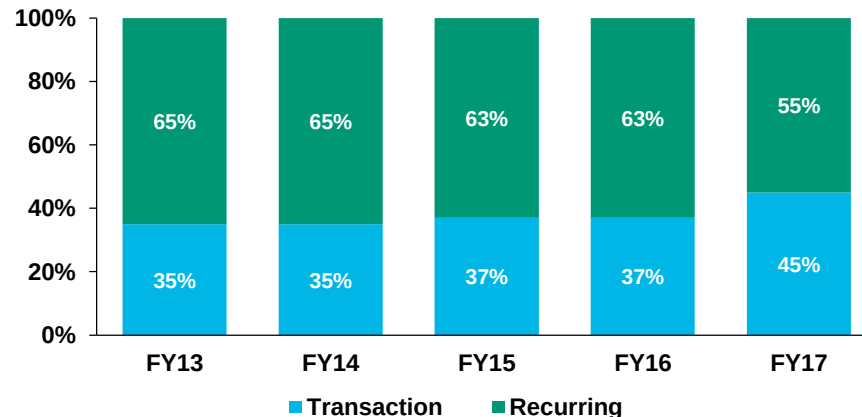
2 Sources: Moody's Analytics, Dealogic. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

# Financial Institutions: Revenue Diversification

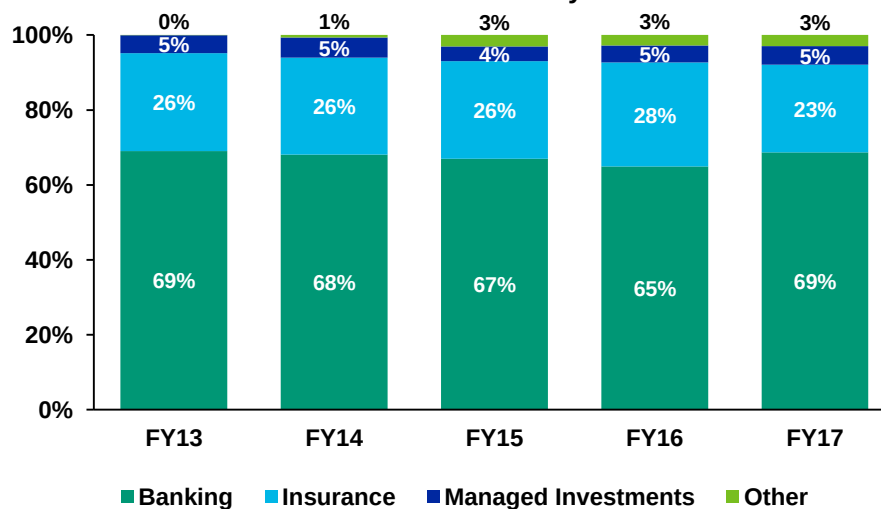
Revenue<sup>1</sup>: Distribution by Geography



Revenue<sup>1</sup>: Distribution by Recurring vs. Transaction

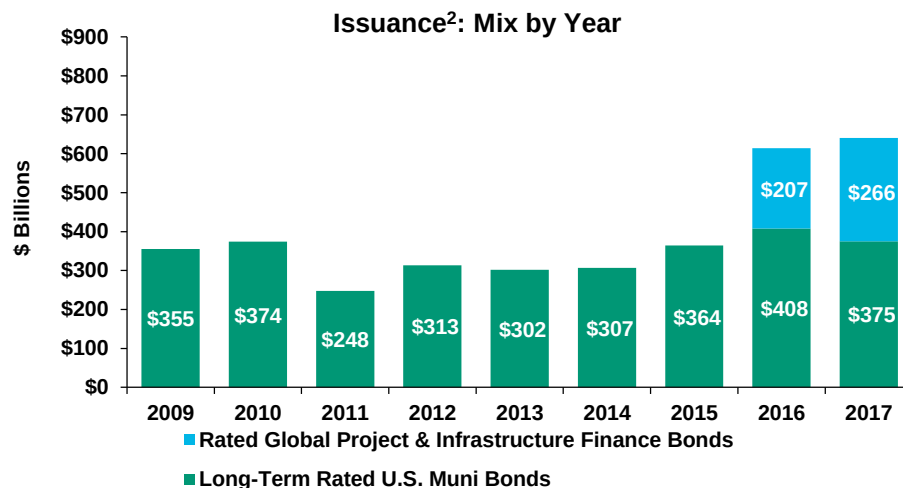
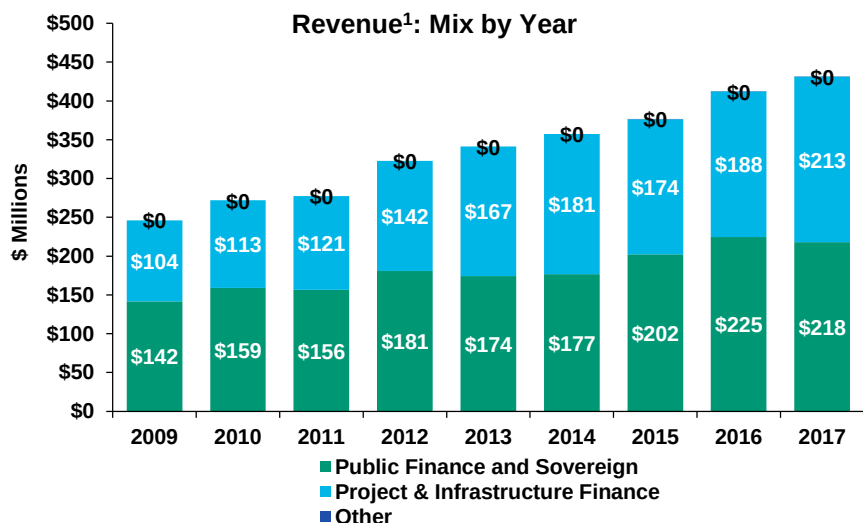
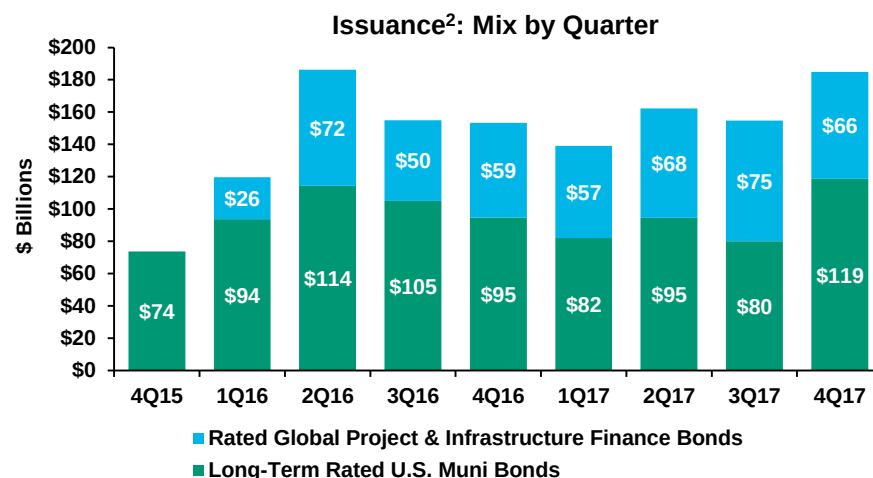
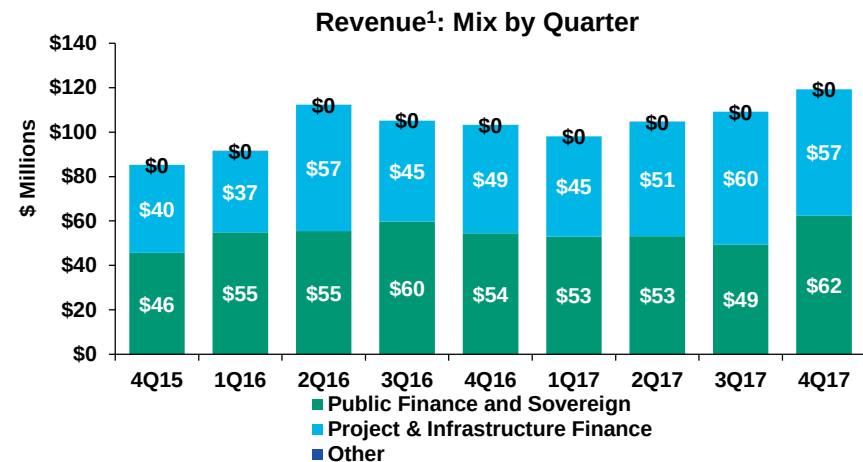


Revenue<sup>1</sup>: Distribution by Product



1. Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

# Public, Project and Infrastructure: Revenue and Issuance



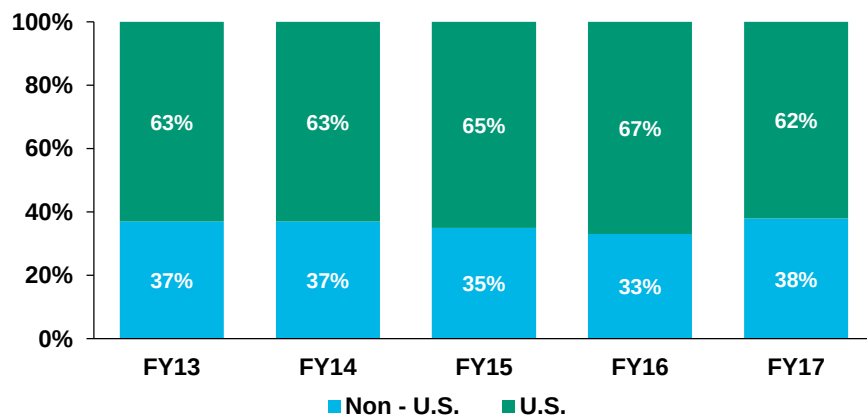
1 Historical data has been adjusted to conform with current information and excludes intercompany revenue.

2 Global Rated Project & Infrastructure Finance available starting in 2016 and represents Moody's rated issuance.

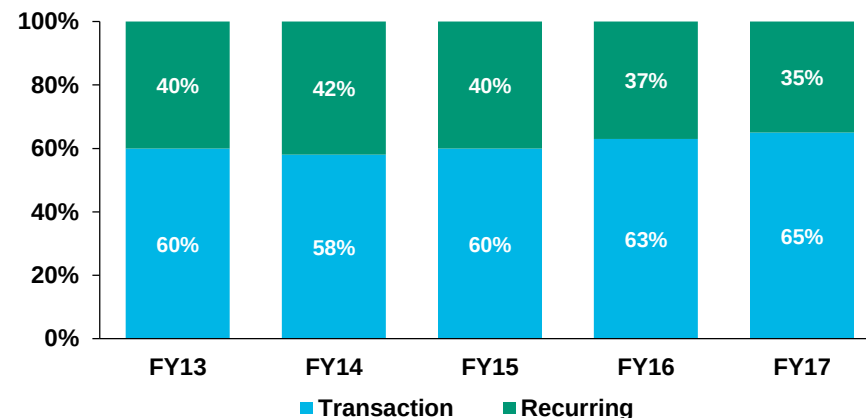
Sources: Thomson SDC, Moody's Corporation. Note: Debt issuance categories do not directly correspond to Moody's revenue categorization.

# Public, Project and Infrastructure: Revenue Diversification

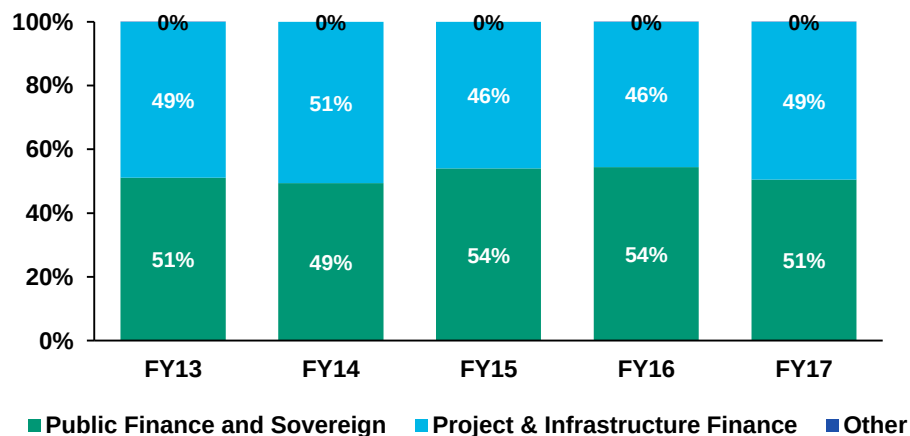
Revenue<sup>1</sup>: Distribution by Geography



Revenue<sup>1</sup>: Distribution by Recurring vs. Transaction

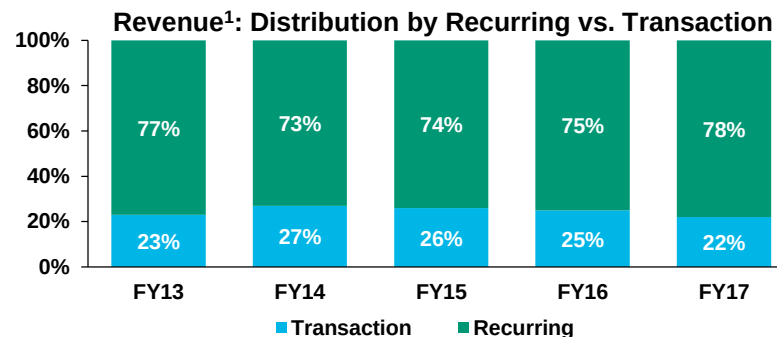
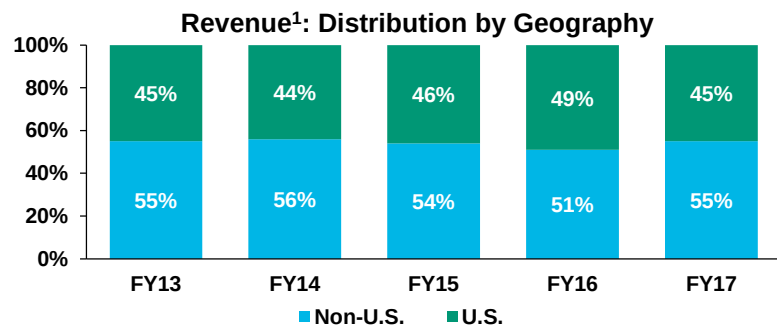
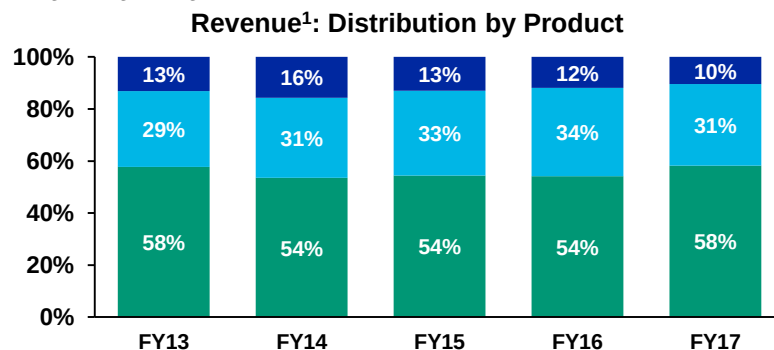
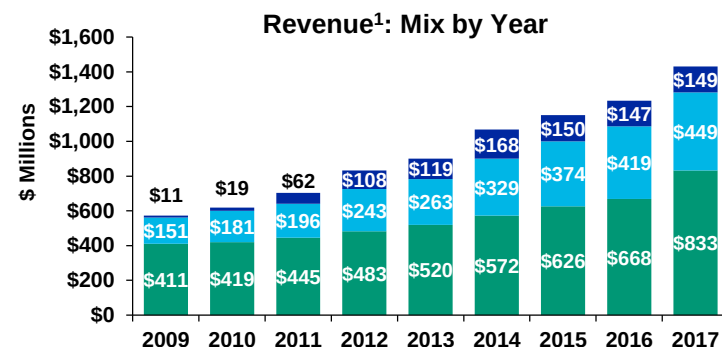
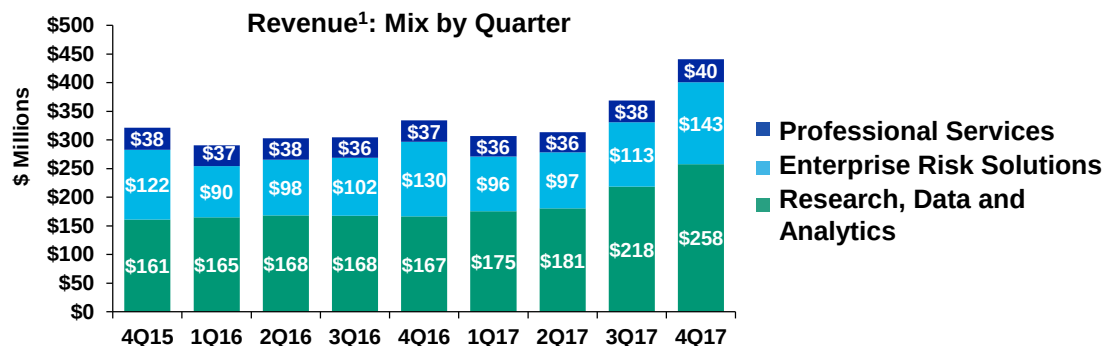


Revenue<sup>1</sup>: Distribution by Product



<sup>1</sup> Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.

# Moody's Analytics: Financial Overview



<sup>1</sup> Historical data has been adjusted to conform with current information and excludes intercompany revenue. Percentages have been rounded and may not total to 100%.



# Moody's Corporate Speculative Grade Credit Cycle Gauge

|                                        | North America |            |                                |              | Europe        |            |                                |              |
|----------------------------------------|---------------|------------|--------------------------------|--------------|---------------|------------|--------------------------------|--------------|
|                                        | Latest Metric | 1-Year Ago | Long-Term Average <sup>1</sup> | Record Worst | Latest Metric | 1-Year Ago | Long-Term Average <sup>2</sup> | Record Worst |
| Liquidity Stress Index                 | 2.7%          | 6.2%       | 6.6%                           | 20.8%        | 7.8%          | 12.1%      | 11.8%                          | 18.5%        |
| B3-Neg / Lower                         | 204           | 252        | 195                            | 291          | 43            | 60         | 41                             | 60           |
| % B3-Neg / Lower                       | 13.7%         | 17.3%      | 15.1%                          | 26%          | 9.6%          | 13.8%      | 11.8%                          | 17.2%        |
| 3-Year Refunding Index                 | 4.1x          | 3.7x       | 6.2x                           | 1.5x         | N/A           | N/A        | N/A                            | N/A          |
| Downgrade / Upgrade Ratio <sup>3</sup> | 0.9x          | 0.6x       | 3.5x                           | 11.7x        | 0.7x          | 2.0x       | 2.4x                           | 20.5x        |
| Covenant Quality Score                 | 4.44          | 4.15       | 4.06                           | 4.52         | 3.56          | 3.36       | 3.22                           | 4.85         |
| Default Rate (forecast)                | 2.0%          | 3.2%       | 4.7%                           | 15.0%        | 1.5%          | 2.4%       | 3.8%                           | 13.0%        |

Improving

Neutral

Trending Worse

<sup>1</sup> North America long-term average: LSI: from 2002, B3-Neg: from 2007, Refunding: from 2007, Downgrade / Update Ratio: from 2008, CQ score: from 2011, Default rate: from 1990.

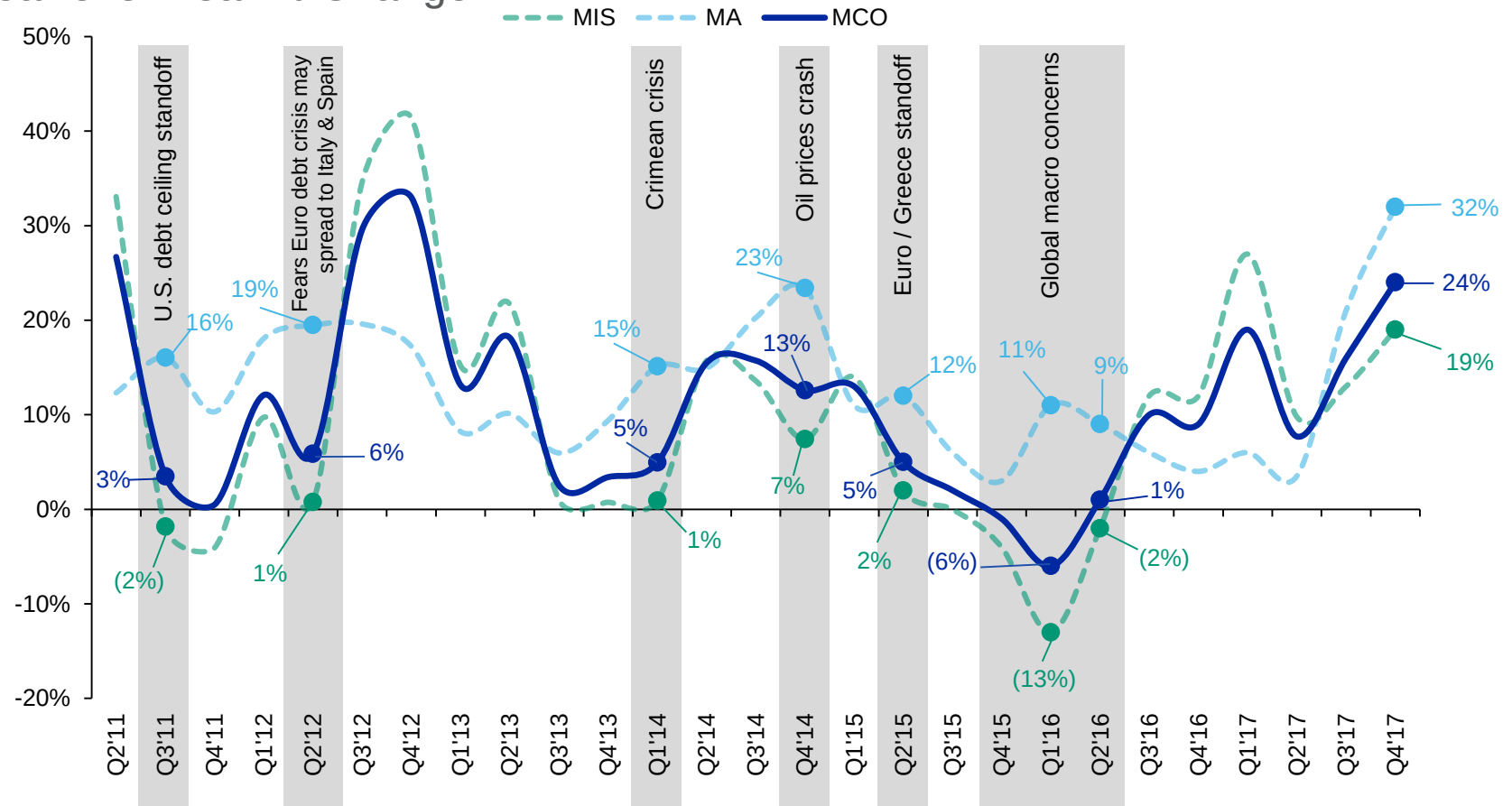
<sup>2</sup> Europe long-term average: LSI: from 2012, CQ Score: from 2011, B3-Neg: from 2010, Downgrade / Update Ratio: from 2009, Default rate: from 1999.

<sup>3</sup> Trailing twelve months (TTM) ended January 31, 2018.

Source: Moody's Investors Service.

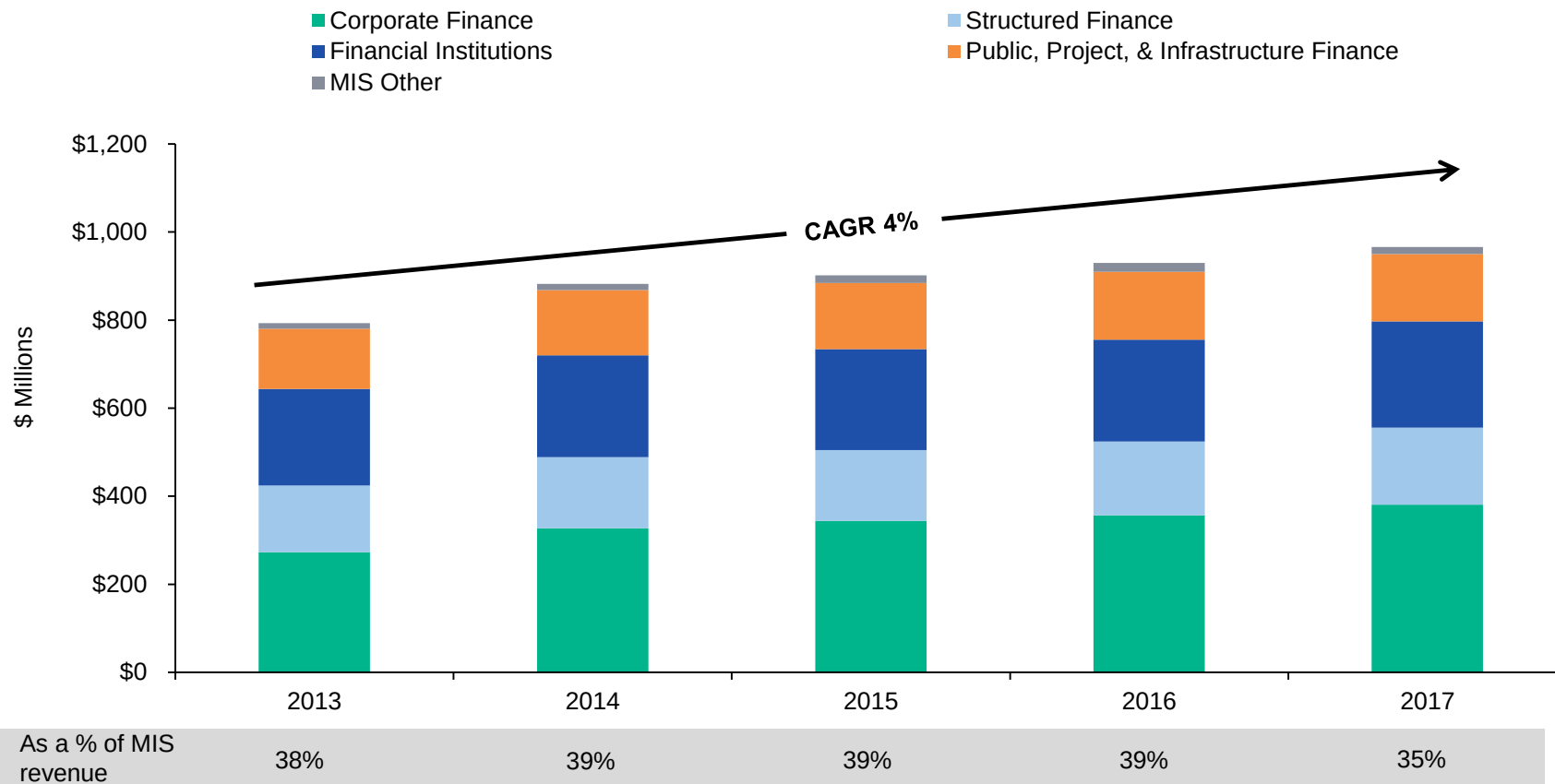
# Revenue Growth by Quarter: MCO, MIS and MA

Year-over-Year % Change



# MIS's Recurring Revenue<sup>1</sup> Provides Stability

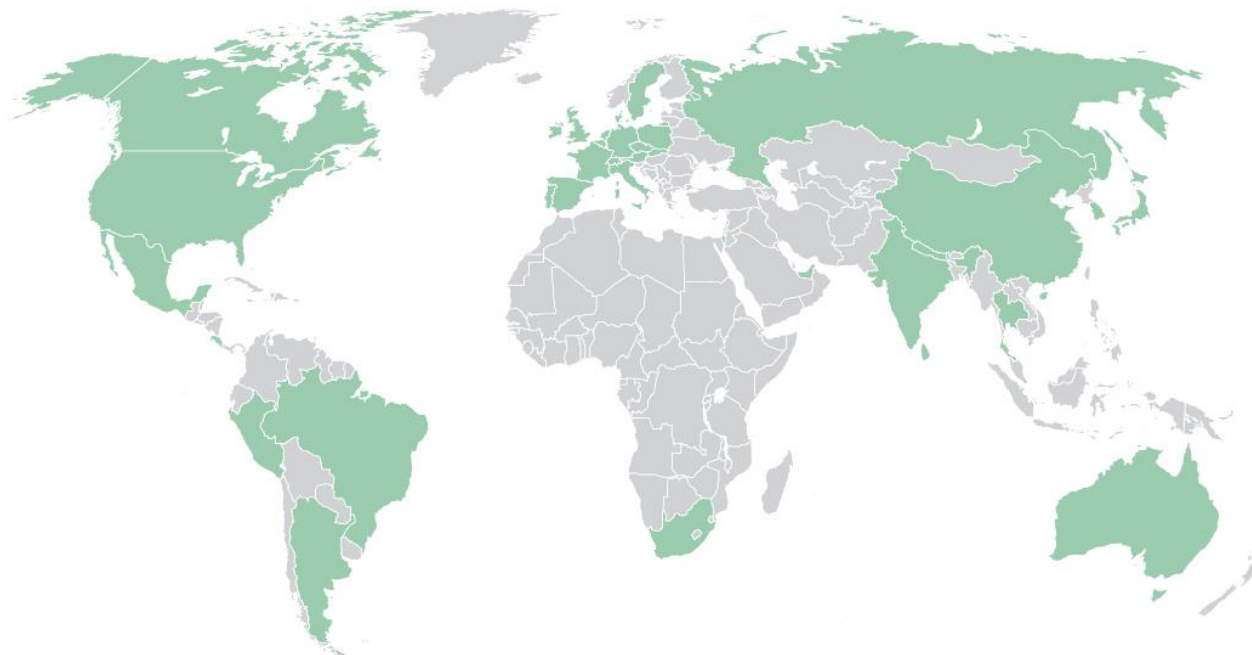
## MIS Recurring Revenue



- » Drivers of MIS recurring revenue include growth in monitoring fees and select elements of pricing
- » Recurring revenue averages ~35% of total MIS revenue
- » 2017 recurring revenue up 4% over 2016

<sup>1</sup> MIS recurring revenue is typically billed annually and recognized ratably over 12 months. Recurring revenue can also be billed upfront and recognized over the life of the security.

# Moody's Global Presence



## Americas

Argentina  
Brazil  
Canada  
Costa Rica  
Mexico  
Panama  
Peru  
United States

## Europe, Middle East & Africa

Austria  
Belgium  
Cyprus  
Czech Republic  
Denmark  
France  
Germany  
Ireland  
Israel  
Italy  
Mauritius  
Netherlands  
Poland  
Portugal  
Russia  
Slovakia  
South Africa  
Spain  
Sweden  
Switzerland  
UAE  
United Kingdom

## Asia-Pacific

Australia  
China  
Hong Kong  
India  
Japan  
Korea  
Nepal  
Singapore  
Sri Lanka  
Thailand

|      |                         |   |                             |   |                                        |
|------|-------------------------|---|-----------------------------|---|----------------------------------------|
| 2017 | 3,591<br>U.S. employees | + | 8,305<br>non-U.S. employees | = | 11,896<br>total employees <sup>1</sup> |
| 2016 | 3,387<br>U.S. employees | + | 7,230<br>non-U.S. employees | = | 10,617<br>total employees <sup>2</sup> |

<sup>1</sup> As of December 31, 2017.

<sup>2</sup> As of December 31, 2016.

# Reconciliation of Adjusted Financial Measures to GAAP

## Adjusted Operating Income and Adjusted Operating Margin Reconciliation

| (in \$ millions)             | 2012             | 2013             | 2014             | 2015             | 2016             | 2017 <sup>1</sup> |
|------------------------------|------------------|------------------|------------------|------------------|------------------|-------------------|
| As Reported Operating Income | \$1,077.4        | \$1,234.6        | \$1,439.1        | \$1,473.4        | \$638.7          | \$1,809.1         |
| Operating Margin             | 39.5%            | 41.5%            | 43.2%            | 42.3%            | 17.7%            | 43.0%             |
| Add Adjustment:              |                  |                  |                  |                  |                  |                   |
| Depreciation & Amortization  | 93.5             | 93.4             | 95.6             | 113.5            | 126.7            | 158.3             |
| Acquisition-Related Expenses | -                | -                | -                | -                | -                | 22.5              |
| Restructuring                | -                | -                | -                | -                | 12.0             | -                 |
| Goodwill Impairment Charge   | 12.2             | -                | -                | -                | -                | -                 |
| Settlement Charge            | -                | -                | -                | -                | 863.8            | -                 |
| Adjusted Operating Income    | <u>\$1,183.1</u> | <u>\$1,328.0</u> | <u>\$1,534.7</u> | <u>\$1,586.9</u> | <u>\$1,641.2</u> | <u>\$1,989.9</u>  |
| Adjusted Operating Margin    | <u>43.3%</u>     | <u>44.7%</u>     | <u>46.0%</u>     | <u>45.5%</u>     | <u>45.5%</u>     | <u>47.3%</u>      |

## Moody's Corporation Operating Margin Guidance Reconciliation

|                                                    | 2018F <sup>1</sup>       |
|----------------------------------------------------|--------------------------|
| Projected Operating Margin - GAAP                  | 43% - 44%                |
| Projected impact from Depreciation & Amortization  | Approximately 4.0%       |
| Projected impact from Acquisition-Related Expenses | Approximately 0.5%       |
| Projected Adjusted Operating Margin                | <u>Approximately 48%</u> |

## Free Cash Flow Reconciliation

| (in \$ millions)                         | 2013           | 2014           | 2015             | 2016             | 2017           | 2018F <sup>1</sup> |
|------------------------------------------|----------------|----------------|------------------|------------------|----------------|--------------------|
| Net cash flows from operating activities | \$965.6        | \$1,017.3      | \$1,198.1        | \$1,259.2        | \$747.5        | ~\$1,700           |
| Less: Capital expenditures               | 42.3           | 74.6           | 89.0             | 115.2            | 90.6           | ~\$120             |
| Free Cash Flow                           | <u>\$923.3</u> | <u>\$942.7</u> | <u>\$1,109.1</u> | <u>\$1,144.0</u> | <u>\$656.9</u> | <u>~\$1,600</u>    |

<sup>1</sup> Guidance as of February 9, 2018.

# Reconciliation of Adjusted Financial Measures to GAAP (cont.)

## Moody's Corporation Diluted EPS Reconciliation

|                                                          | 2013   | 2014   | 2015   | 2016     | 2017     | 2018F <sup>1</sup> |
|----------------------------------------------------------|--------|--------|--------|----------|----------|--------------------|
| Diluted EPS - GAAP                                       | \$3.60 | \$4.61 | \$4.63 | \$1.36   | \$5.15   | \$7.20 - \$7.40    |
| Legacy Tax                                               | (0.09) | (0.03) | (0.03) | -        | -        | -                  |
| Impact of Litigation Settlement                          | 0.14   | -      | -      | \$3.59   | -        | -                  |
| ICRA Gain                                                | -      | (0.37) | -      | -        | -        | -                  |
| FX Gain due to Subsidiary Liquidation                    | -      | -      | -      | (\$0.18) | -        | -                  |
| Restructuring                                            | -      | -      | -      | \$0.04   | -        | -                  |
| CCXI Gain                                                | -      | -      | -      | -        | (\$0.31) | -                  |
| Acquisition-Related Expenses                             | -      | -      | -      | -        | \$0.10   | ~\$0.05            |
| Purchase Price Hedge Gain                                | -      | -      | -      | -        | (\$0.37) | -                  |
| Net Acquisition-Related Intangible Amortization Expenses | \$0.09 | \$0.10 | \$0.11 | \$0.13   | \$0.23   | ~\$0.40            |
| Transition tax related to U.S. tax reform                | -      | -      | -      | -        | \$1.28   | -                  |
| Net Impact of U.S./European tax change on deferred taxes | -      | -      | -      | -        | (\$0.01) | -                  |
| Adjusted Diluted EPS                                     | \$3.74 | \$4.31 | \$4.71 | \$4.94   | \$6.07   | \$7.65 - \$7.85    |

Note: Table may not sum to total due to rounding.

<sup>1</sup> Guidance as of February 9, 2018.

# MOODY'S

Investor Relations

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